

Hilltops Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2023



Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2023



General Purpose Financial Statements

for the year ended 30 June 2023

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Overview

Hilltops Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

189 Boorowa Street
Young NSW 2594

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-2.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.hilltops.nsw.gov.au.

Hilltops Council

General Purpose Financial Statements

for the year ended 30 June 2023

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to Section 413 (2c) of the *Local Government Act 1993* (NSW)

The attached general purpose financial statements have been prepared in accordance with:

- the *Local Government Act 1993* and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 16 October 2023.



Clr Margaret Roles
Mayor
26 February 2024



Clr Alison Foreman
Councillor
26 February 2024



Mr Anthony O'Reilly
General Manager
26 February 2024



Mr Norman Smith
Responsible Accounting Officer
26 February 2024

Hilltops Council

Income Statement

for the year ended 30 June 2023

Original unaudited budget 2023	\$ '000	Notes	Actual 2023	Restated Actual 2022 ¹
	Income from continuing operations			
25,654	Rates and annual charges	B2-1	25,548	24,636
10,716	User charges and fees	B2-2	14,749	11,249
–	Other revenues	B2-3	1,143	1,755
16,675	Grants and contributions provided for operating purposes	B2-4	23,021	21,750
22,978	Grants and contributions provided for capital purposes	B2-4	12,097	38,612
411	Interest and investment income	B2-5	1,112	342
995	Other income	B2-6	609	684
–	Net gain from the disposal of assets	B4-1	128	–
77,429	Total income from continuing operations		78,407	99,028
	Expenses from continuing operations			
19,675	Employee benefits and on-costs	B3-1	20,892	17,161
16,245	Materials and services	B3-2	26,602	20,445
530	Borrowing costs	B3-3	1,783	1,016
17,769	Depreciation, amortisation and impairment of non-financial assets	B3-4	20,602	18,735
5,218	Other expenses	B3-5	1,193	1,085
–	Net loss from the disposal of assets	B4-1	–	1,416
59,437	Total expenses from continuing operations		71,072	59,858
17,992	Operating result from continuing operations		7,335	39,170
17,992	Net operating result for the year attributable to Council		7,335	39,170
(4,986)	Net operating result for the year before grants and contributions provided for capital purposes		(4,762)	558

(1) Refer Note G4-1 for prior period errors

The above Income Statement should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Comprehensive Income

for the year ended 30 June 2023

\$ '000	Notes	2023	Restated 2022 ¹
Net operating result for the year – from Income Statement		7,335	39,170
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain on revaluation of infrastructure, property, plant and equipment	C1-7	79,889	29,997
Other movements to revaluation reserve	G4-1	2,534	–
Correction of error	G4-1	–	2,496
Total items which will not be reclassified subsequently to the operating result		82,423	32,493
Amounts which will be reclassified subsequently to the operating result when specific conditions are met			
Other movements		–	2,496
Total items which will be reclassified subsequently to the operating result when specific conditions are met		–	2,496
Total other comprehensive income for the year		82,423	34,989
Total comprehensive income for the year attributable to Council		89,758	74,159

(1) Refer to Note G4-1 for the prior period errors.

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Financial Position

as at 30 June 2023

\$ '000	Notes	2023	Restated 2022 ²	Restated 1 July 2021 ¹
ASSETS				
Current assets				
Cash and cash equivalents	C1-1	9,481	20,811	9,805
Investments	C1-2	40,217	20,772	27,015
Receivables	C1-4	7,749	9,145	9,881
Inventories	C1-5	1,171	895	958
Contract assets and contract cost assets	C1-6	12,852	9,749	5,878
Total current assets		71,470	61,372	53,537
Non-current assets				
Receivables	C1-4	208	244	–
Infrastructure, property, plant and equipment (IPPE)	C1-7	807,044	724,942	666,427
Right of use assets	C2-1	49	71	496
Total non-current assets		807,301	725,257	666,923
Total assets		878,771	786,629	720,460
LIABILITIES				
Current liabilities				
Payables	C3-1	5,031	3,927	4,940
Contract liabilities	C3-2	12,610	8,219	8,010
Lease liabilities	C2-1	21	21	137
Borrowings	C3-3	1,800	1,853	1,872
Employee benefit provisions	C3-4	5,243	5,223	5,971
Provisions	C3-5	4,507	3,546	3,458
Total current liabilities		29,212	22,789	24,388
Non-current liabilities				
Payables	C3-1	68	72	82
Lease liabilities	C2-1	29	50	385
Borrowings	C3-3	11,877	13,664	15,310
Employee benefit provisions	C3-4	1,339	1,368	1,596
Provisions	C3-5	18,874	21,072	22,748
Total non-current liabilities		32,187	36,226	40,121
Total liabilities		61,399	59,015	64,509
Net assets		817,372	727,614	655,951
EQUITY				
Accumulated surplus		617,114	609,779	569,824
IPPE revaluation reserve		200,258	117,835	85,342
Other reserves		–	–	785
Total equity		817,372	727,614	655,951

(1) Refer to Note G4-1 for the prior period errors

(2) Refer to Note G4-1 for the prior period errors

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Changes in Equity

for the year ended 30 June 2023

\$ '000	Notes	2023				2022			
		Accumulated surplus	IPPE revaluation reserve	Financial assets at FVOCI	Total equity	Accumulated surplus	IPPE revaluation reserve	Financial assets at FVOCI	Total equity
		Restated	Restated	Restated	Restated	Restated	Restated	Restated	Restated
Opening balance at 1 July		609,779	117,835	–	727,614	578,094	85,342	785	664,221
Correction of prior period errors	G4-1	–	–	–	–	(13,262)	–	–	(13,262)
Opening balance		609,779	117,835	–	727,614	564,832	85,342	785	650,959
Net operating result for the year		7,335	–	–	7,335	40,217	–	–	40,217
Correction of prior period errors	G4-1	–	–	–	–	(1,047)	–	–	(1,047)
Net operating result for the period		7,335	–	–	7,335	39,170	–	–	39,170
Other comprehensive income									
Other movements to revaluation reserve	G4-1	–	2,534	–	2,534	4,992	–	–	4,992
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	–	79,889	–	79,889	–	29,997	–	29,997
Correction of error	G4-1	–	–	–	–	–	2,496	–	2,496
Other reserves movements		–	–	–	–	785	–	(785)	–
Other comprehensive income		–	82,423	–	82,423	5,777	32,493	(785)	37,485
Total comprehensive income		7,335	82,423	–	89,758	44,947	32,493	(785)	76,655
Closing balance at 30 June		617,114	200,258	–	817,372	609,779	117,835	–	727,614

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Cash Flows

for the year ended 30 June 2023

Original unaudited budget 2023	\$ '000	Notes	Actual 2023	Actual 2022
Cash flows from operating activities				
Receipts:				
25,654	Rates and annual charges		25,042	24,869
10,716	User charges and fees		17,051	11,063
411	Interest received		1,100	365
39,654	Grants and contributions		36,259	37,332
–	Bonds, deposits and retentions received		17	–
995	Other		1,439	3,054
Payments:				
(19,676)	Payments to employees		(20,852)	(18,069)
(16,245)	Payments for materials and services		(26,551)	(21,559)
(530)	Borrowing costs		(489)	(96)
–	Bonds, deposits and retentions refunded		–	(133)
(5,218)	Other		(411)	(733)
35,761	Net cash flows from operating activities	G1-1	32,605	36,093
Cash flows from investing activities				
Receipts:				
11,611	Sale of investments		–	–
–	Redemption of term deposits		–	6,243
777	Proceeds from sale of IPPE		628	283
–	Deferred debtors receipts		36	–
Payments:				
–	Acquisition of term deposits		(19,445)	–
(45,877)	Payments for IPPE		(23,293)	(29,678)
–	Deferred debtors and advances made		–	(223)
(33,489)	Net cash flows from investing activities		(42,074)	(23,375)
Cash flows from financing activities				
Payments:				
(1,853)	Repayment of borrowings		(1,840)	(1,665)
–	Principal component of lease payments		(21)	(47)
(1,853)	Net cash flows from financing activities		(1,861)	(1,712)
419	Net change in cash and cash equivalents		(11,330)	11,006
–	Cash and cash equivalents at beginning of year		20,811	9,805
419	Cash and cash equivalents at end of year	C1-1	9,481	20,811

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Hilltops Council

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A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 28 February 2024. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the Office of Local Government (OLG) directs Council to amend the financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (Act)* and *Local Government (General) Regulation 2021 (Regulation)*, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- i. estimated fair values of infrastructure, property, plant and equipment – refer Note C1-7
- ii. estimated tip remediation provisions – refer Note C3-5
- iii. employee benefit provisions – refer Note C3-4.

Significant judgements in applying the Council's accounting policies

- i. Impairment of receivables – refer Note C1-4
- ii. Determination of whether performance obligations are sufficiently specific and whether the contract is within the scope of AASB 15 *Revenue from Contracts with Customers* and / or AASB 1058 *Income of Not-for-Profit Entities* – refer to Notes B2-2 – B2-4.

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

The Consolidated Fund has been included in the financial statements of the Council

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

General purpose operations
Water service

A1-1 Basis of preparation (continued)

Sewerage service
 Section 355 Committees of Council
 South West Regional Waste Management Group
 South West Rural Fire Service

The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to, the taxation authority, are presented as operating cash flows.

Volunteer services

Council's Tourist centre and community operations use volunteers to assist in their operation. The inconsistency and variability of times worked provides these activities with assistance when required. The value of volunteer labour is considered not material due to the use being minor or not reliably measureable.

New accounting standards and interpretations issued but not yet effective

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations (ie. pronouncements) have been published by the Australian Accounting Standards Board that are not mandatory for the 30 June 2023 reporting period.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

New accounting standards adopted during the year

The following new standards are effective for the first time at 30 June 2023:

- AASB 2022-3 *Amendments to Australian Accounting Standards – Illustrative Examples for Not-for-Profit Entities accompanying AASB 15*
- AASB 2020-3 *Amendments to Australian Accounting Standards – Annual Improvements 2018 – 2020 and Other Amendments*

Further information on the newly adopted standards did not have a material impact on Council's reported financial position, financial performance and/or associated financial statement disclosures.

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
\$ '000	2023	2022	2023	2022 ¹ Restated	2023	2022 Restated	2023	2022	2023	2022 Restated
Functions or activities										
Governance	44	1,831	843	907	(799)	924	–	–	–	–
Administration	1,515	1,962	6,592	7,169	(5,077)	(5,207)	130	1,939	114,915	99,278
Public Order and Safety	710	993	1,381	108	(671)	885	655	927	37	28
Health	27	40	2,461	608	(2,434)	(568)	1	–	–	–
Environment	6,805	6,561	7,000	8,509	(195)	(1,948)	2,252	2,245	49,497	28,723
Community Services and Education	61	–	1,023	209	(962)	(209)	34	26	–	–
Housing and community amenities	787	635	2,732	1,509	(1,945)	(874)	17	10	11,823	3,453
Water Supplies	8,665	9,008	7,586	8,533	1,079	475	21	331	65,897	63,826
Sewerage Supplies	4,935	4,759	3,499	1,895	1,436	2,864	25	133	57,321	54,713
Recreation and culture	723	501	5,463	6,746	(4,740)	(6,245)	956	771	52,981	37,552
Mining, manufacturing and construction	332	315	649	884	(317)	(569)	5	5	1,356	1,435
Transport and communication	25,418	46,140	27,307	20,253	(1,889)	25,887	18,349	42,883	524,813	497,498
Economic affairs	979	1,153	4,536	2,528	(3,557)	(1,375)	34	228	131	123
General purpose Income	27,406	25,130	–	–	27,406	25,130	12,633	10,864	–	–
Other	–	–	–	–	–	–	6	–	–	–
Total functions and activities	78,407	99,028	71,072	59,858	7,335	39,170	35,118	60,362	878,771	786,629

(1) Refer to Note G4-1 for the prior period errors

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, and any Council policy compliance.

Public order and safety

Includes Council's fire and emergency services levy, fire protection, emergency services, enforcement of regulations and animal control.

Health

Includes immunisation, food control, health centres etc.

Environment

Includes emerging weeds and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

Community services and education

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; childrens services; and other children services.

Housing and community amenities

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

Water supplies

Includes the provision of water to customers.

Sewerage supplies

Includes the provision of a sewerage service.

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; and other sporting, recreational and cultural services.

Mining, manufacturing and construction

Includes building control, quarries and pits.

Transport and communication

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

Economic affairs

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; saleyards and markets; real estate development; and other business undertakings.

B2 Sources of income

B2-1 Rates and annual charges

\$ '000	2023	2022
Ordinary rates		
Residential	5,380	5,077
Farmland	7,393	7,217
Business	1,363	1,317
Mining	21	21
Less: pensioner rebates (mandatory)	(328)	(327)
Rates levied to ratepayers	13,829	13,305
Pensioner rate subsidies received	177	188
Total ordinary rates	14,006	13,493
Annual charges (pursuant to s496, 496A, 496B, 501 & 611)		
Domestic waste management services	2,661	2,574
Stormwater management services	122	122
Water supply services	3,511	3,379
Waste management services (non-domestic)	51	48
Section 611 charges	8	10
Sewerage services	4,793	4,642
Recycling	292	284
Greenwaste	278	266
Less: pensioner rebates (mandatory)	(381)	(380)
Annual charges levied	11,335	10,945
Pensioner annual charges subsidies received:		
– Water	70	70
– Sewerage	59	60
– Domestic waste management	78	68
Total annual charges	11,542	11,143
Total rates and annual charges	25,548	24,636
Timing of revenue recognition for rates and annual charges		
Rates and annual charges recognised over time (1)	25,548	24,636
Total rates and annual charges	25,548	24,636

Council has used 2019 year valuations provided by the NSW Valuer General in calculating its rates.

Accounting policy

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area that are not subsidised by the NSW Government.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

\$ '000	2023	2022
Specific user charges (per s502 - specific 'actual use' charges)		
Waste management services (non-domestic)	52	48
Water supply services	4,504	4,745
Total specific user charges	4,556	4,793
Other user charges and fees		
(i) Fees and charges – statutory and regulatory functions (per s608)		
Inspection services	95	116
Planning and building regulation	504	420
Private works – section 67	266	171
Regulatory/ statutory fees	11	1
Section 149 certificates (EPA Act)	63	68
Section 603 certificates	79	83
Town planning	8	1
Animal	7	11
Total fees and charges – statutory/regulatory	1,033	871
(ii) Fees and charges – other (incl. general user charges (per s608))		
Cemeteries	413	371
Tourism	–	29
Waste disposal tipping fees	959	1,134
Caravan park	205	210
Gravel pits	30	–
Leaseback fees – Council vehicles / Rental Properties	175	75
Library and art gallery	6	7
Park rents	37	33
TfNSW (formerly RMS) charges (state roads not controlled by Council)	7,126	3,486
Sundry sales	–	4
Swimming centres	62	58
Water connection fees	55	92
Truckwash	13	12
Septic tank fees	10	15
Sewer plan fees	32	32
Sewer connection fees	11	–
Other	26	27
Total fees and charges – other	9,160	5,585
Total other user charges and fees	10,193	6,456
Total user charges and fees	14,749	11,249
Timing of revenue recognition for user charges and fees		
User charges and fees recognised over time	3,066	2,795
User charges and fees recognised at a point in time	11,683	8,454
Total user charges and fees	14,749	11,249

Accounting policy

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenues

\$ '000	2023	2022
Fines – parking	1	–
Fines – other	12	20
Legal fees recovery – rates and charges (extra charges)	98	120
Commissions and agency fees	39	54
Diesel rebate	309	487
Insurance claims recoveries	–	6
Legal fees recovery – other	19	1
Sales – general	108	77
Other	61	664
Insurance incentives and rebates	32	3
Sale of scrap metal	98	–
Section 355 committee	88	51
Sale of garbage bins	22	19
Training incentives	–	5
Worker health and safety incentives	51	63
Workers compensation reimbursement	205	185
Total other revenue	1,143	1,755

Timing of revenue recognition for other revenue

Other revenue recognised over time	1,143	1,755
Other revenue recognised at a point in time	–	–
Total other revenue	1,143	1,755

Accounting policy for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

\$ '000	Operating 2023	Operating 2022	Capital 2023	Capital 2022
General purpose grants and non-developer contributions (untied)				
General purpose (untied)				
Current year allocation				
Financial assistance – general component	1,673	2,890	–	–
Financial assistance – local roads component	901	1,338	–	–
Payment in advance - future year allocation				
Financial assistance – local roads component	3,520	2,393	–	–
Financial assistance – general component	6,542	4,444	–	–
Amount recognised as income during current year	12,636	11,065	–	–
Special purpose grants and non-developer contributions (tied)				
Cash contributions				
Previously specific grants:				
Water supplies ¹	(108)	89	–	–
Library – special projects	–	–	48	33
Recreation and culture	–	–	736	278
Storm/flood damage	4,340	2,152	–	497
– Other	–	–	264	–
Bushfire and emergency services	359	602	419	265
Employment and training programs	–	8	–	–
Environmental programs	1	–	–	–
Heritage and cultural	–	11	–	–
Library – per capita	65	87	–	–
LIRS subsidy	36	53	–	–
Noxious weeds	131	189	–	–
Street lighting	92	102	–	–
Transport (other roads and bridges funding)	–	–	8,005	14,340
Youth services	32	25	–	–
Stronger Community Funds	–	–	54	1,812
Regional roads repair program	–	–	898	–
Other specific grants	11	315	106	25
Transport (roads to recovery) ¹	(347)	1,167	–	–
Previously contributions:				
Community services	–	1	–	–
Drought Assistance	–	20	–	302
Other councils – joint works/services	2,124	1,988	–	–
Recreation and culture	15	6	–	–
Other contributions	77	1	–	–
Transport for NSW contributions (regional roads, block grant)	3,557	3,844	780	694
Sewerage (excl. section 64 contributions)	–	–	–	30
Water supplies (excl. section 64 contributions)	–	–	–	15
Waste	–	25	–	–
Total special purpose grants and non-developer contributions – cash	10,385	10,685	11,310	18,291
Non-cash contributions				
Roads and bridges	–	–	–	19,252
Total other contributions – non-cash	–	–	–	19,252
Total special purpose grants and non-developer contributions (tied)	10,385	10,685	11,310	37,543
Total grants and non-developer contributions	23,021	21,750	11,310	37,543

B2-4 Grants and contributions (continued)

\$ '000	Operating 2023	Operating 2022	Capital 2023	Capital 2022
Comprising:				
– Commonwealth funding	13,298	12,232	–	302
– State funding	8,695	7,498	11,222	17,989
– Other funding	1,028	2,020	88	–
- Non Cash Asset Contributions	–	–	–	19,252
	23,021	21,750	11,310	37,543

(1) Grants raised in prior year reversed in current year

B2-4 Grants and contributions (continued)

Developer contributions

\$ '000	Notes	Operating 2023	Operating 2022	Capital 2023	Capital 2022
Developer contributions:	G5				
(s7.4 & s7.11 - EP&A Act, s64 of the LGA):					
Cash contributions					
S 7.11 – contributions towards amenities/services		–	–	10	24
S 64 – sewerage service contributions		–	–	25	69
S 7.4 – contributions using planning agreements		–	–	320	319
S 7.12 – fixed development consent levies		–	–	346	519
S 64 – water supply contributions		–	–	86	138
Total developer contributions – cash		–	–	787	1,069
Total developer contributions		–	–	787	1,069
Total contributions		–	–	787	1,069
Total grants and contributions		23,021	21,750	12,097	38,612
Timing of revenue recognition for grants and contributions					
Grants and contributions recognised over time		22,660	20,743	2,583	22,232
Grants and contributions recognised at a point in time		361	1,007	9,514	16,380
Total grants and contributions		23,021	21,750	12,097	38,612

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

\$ '000	Operating 2023	Operating 2022	Capital 2023	Capital 2022
Grants				
Unspent funds at 1 July	563	204	–	–
Less: Funds received in prior year but revenue recognised and funds spent in current year	–	–	–	–
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	13	398	–	–
Less: Funds recognised as revenue in previous years that have been spent during the reporting year	(439)	(39)	–	–
Unspent funds at 30 June	137	563	–	–
Contributions				
Unspent funds at 1 July	–	–	4,739	3,719
Add: contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions	–	–	862	1,088
Less: contributions recognised as revenue in previous years that have been spent during the reporting year	–	–	(22)	(68)
Unspent funds at 30 June	–	–	5,579	4,739

Council has contributions under S7.11 and S7.12 that will be spent in the future in accordance with Councils adopted contributions plan.

Accounting policy

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement but include the provision of road and recreation assets. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

B2-4 Grants and contributions (continued)

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

Developer contributions

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979* (EP&A Act).

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required, but Council may apply contributions according to the priorities established in work schedules for the contribution plan.

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

\$ '000	2023	2022
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	224	196
– Cash and investments	887	140
– Other	1	6
Total interest and investment income (losses)	1,112	342
Interest and investment income is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)	104	111
General Council cash and investments	462	114
Restricted investments/funds – external:		
Development contributions		
– Section 7.11	56	15
Water fund operations	248	63
Sewerage fund operations	139	23
Domestic waste management operations	18	–
South West Regional Waste Management Group	85	16
Total interest and investment income	1,112	342

Accounting policy

Interest income is recognised using the effective interest rate at the date that interest is earned.

Dividends are recognised as income in profit or loss when the shareholder's right to receive payment is established unless the dividend clearly represents a recovery of part of the cost of the investment.

B2-6 Other income

\$ '000	Notes	2023	2022
Reversal of impairment losses on receivables			
Other		–	3
Total reversal of impairment losses on receivables	C1-4	–	3
Rental income			
Other lease income			
Room/Facility Hire		609	681
Total other lease income		609	681
Total rental income	C2-2	609	681
Total other income		609	684

B3 Costs of providing services

B3-1 Employee benefits and on-costs

\$ '000	2023	2022
Salaries and wages	15,907	15,396
Travel expenses	43	19
Employee leave entitlements (ELE)	2,472	1,504
Superannuation	1,931	1,619
Workers' compensation insurance	1,285	1,022
Fringe benefit tax (FBT)	90	90
Payroll tax	120	112
Training costs (other than salaries and wages)	391	191
Protective clothing	82	61
WH&S expenses	40	76
Other	340	106
Total employee costs	22,701	20,196
Less: capitalised costs	(1,809)	(3,035)
Total employee costs expensed	20,892	17,161
Number of 'full-time equivalent' employees (FTE) at year end	222	198

Accounting policy

Employee benefit expenses are recorded when the service has been provided by the employee.

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

\$ '000	Notes	2023	2022
Previously other expenses:			
Raw materials and consumables		4,310	1,474
Contractor costs		8,385	6,378
– RTA works		1,819	731
– Private works		346	29
– Security services		40	36
– IT support services		92	432
– Town planning		58	217
– Regional landfill receival charges		1,411	1,413
– Waste haulage		1,388	1,386
Audit Fees	F2-1	137	208
Advertising		93	64
Bank charges		105	71
Cost of sales		75	51
Computer software charges		40	58
Election expenses		–	197
Electricity and heating		687	706
Insurance		1,427	1,305
Office expenses (including computer expenses)		8	2
Postage		60	80
Printing and stationery		81	63
Street lighting		232	245
Subscriptions and publications		160	174
Telephone and communications		262	301
Other expenses		267	262
Councillor and Mayoral fees and associated expenses	F1-2	181	154
Valuation fees – land rates		97	92
Licence fees		71	109
Lease property		50	39
Promotion and trade fairs		16	67
Legal expenses:			
Expenses from short-term leases		21	21
– Legal expenses: planning and development		20	74
– Legal expenses: debt recovery		–	3
– Legal expenses: other		104	14
Water acquisition costs		1,074	1,067
Water purchase		3,485	2,921
Other		–	1
Total materials and services		26,602	20,445
Total materials and services		26,602	20,445

Accounting policy

Expenses are recorded on an accruals basis as the Council receives the goods or services.

B3-3 Borrowing costs

\$ '000	Notes	2023	2022 ¹ Restated
(i) Interest bearing liability costs			
Interest on leases		1	1
Interest on loans		485	538
Total interest bearing liability costs		486	539
Total interest bearing liability costs expensed		486	539
(ii) Other borrowing costs			
Discount adjustments relating to movements in provisions (other than ELE)			
– Remediation liabilities	C3-5	1,297	477
Total other borrowing costs		1,297	477
Total borrowing costs expensed		1,783	1,016

Accounting policy

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed as incurred.

(1) Refer to Note G4-1 for the prior period errors

B3-4 Depreciation, amortisation and impairment of non-financial assets

\$ '000	Notes	2023	2022 ¹ Restated
Depreciation and amortisation			
Plant and equipment		2,100	2,171
Office equipment		106	120
Furniture and fittings		24	24
Land improvements (depreciable)		43	39
Infrastructure:	C1-7		
– Buildings – non-specialised		2,924	2,919
– Buildings – specialised		705	699
– Other structures		540	408
– Roads		8,149	7,057
– Bridges		736	606
– Footpaths		160	134
– Stormwater drainage		338	311
– Water supply network		1,477	998
– Sewerage network		1,468	1,386
– Swimming pools		288	266
– Other open space/recreational assets		435	391
Right of use assets	C2-1	22	21
Other assets:			
– Library books		50	78
Reinstatement, rehabilitation and restoration assets:			
– Tip assets	C3-5, C1-7	957	1,023
– Quarry assets	C3-5, C1-7	80	84
Total gross depreciation and amortisation costs		20,602	18,735
Total depreciation and amortisation costs		20,602	18,735
Total depreciation, amortisation and impairment for non-financial assets		20,602	18,735

Accounting policy

B3-4 Depreciation, amortisation and impairment of non-financial assets (continued)

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note C1-8 for IPPE assets.

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are not tested for impairment since these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Intangible assets not yet available for use, are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired.

Other non-financial assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units).

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

(1) Refer to Note G4-1 for the prior period errors

B3-5 Other expenses

\$ '000	Notes	2023	2022
Impairment of receivables			
Rates and annual charges		72	–
User charges and fees		–	146
Total impairment of receivables	C1-4	72	146
Other			
Contributions/levies to other levels of government			
– Emergency services levy (includes FRNSW, SES, and RFS levies)		962	722
– Other contributions/levies		6	4
Donations, contributions and assistance to other organisations (Section 356)		80	82
– ROC membership		26	23
– Section 355 committees and community events		–	20
– Shires Association		47	43
Boorowa Galong rail trail		–	45
Total other		1,121	939
Total other expenses		1,193	1,085

Accounting policy

Other expenses are recorded on an accruals basis when Council has an obligation for the expenses.

Impairment expenses are recognised when identified.

B4 Gains or losses

B4-1 Gain or loss from the disposal, replacement and de-recognition of assets

\$ '000	Notes	2023	2022
Gain (or loss) on disposal of plant and equipment	C1-7		
Proceeds from disposal – plant and equipment		628	283
Less: carrying amount of plant and equipment assets sold/written off		(415)	(118)
Gain (or loss) on disposal		213	165
Gain (or loss) on disposal of infrastructure	C1-7		
Less: carrying amount of infrastructure assets sold/written off		(85)	(1,607)
Gain (or loss) on disposal		(85)	(1,607)
Gain (or loss) on disposal of Right of Use Assets			
Less: carrying amount of Right of use assets sold/written off		–	26
Gain (or loss) on disposal		–	26
Net gain (or loss) from disposal of assets		128	(1,416)

Accounting policy

Gains and losses on disposals are determined by comparing proceeds with carrying amount. The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is de-recognised.

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 29 June 2022 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2023 Budget	2023 Actual	2023 ----- Variance -----	
Revenues				
User charges and fees	10,716	14,749	4,033	38% F
Council has completed \$7M of Transport for NSW works on State roads which was originally budgeted at \$2M				
Other revenues	–	1,143	1,143	∞ F
Council originally budgeted these items in the "other income" area. The key remaining difference is a 200k workers comp reimbursement and an additional 200k fuel rebate.				
Operating grants and contributions	16,675	23,021	6,346	38% F
Council received an additional 25% of the Financial Assistance grant totalling \$2.5M and storm event funding totalling \$3.4M				
Capital grants and contributions	22,978	12,097	(10,881)	(47)% U
Council allocated the following funding for Capital Projects that were not completed during the year.				
\$3.2M for Young Stormwater \$1.9M for Murrumburrah Precinct \$8.5M for Bridges where only \$5.5M was spent				
Interest and investment revenue	411	1,112	701	171% F
Investment returns were much better than original budget with the increase in interest rates				
Net gains from disposal of assets	–	128	128	∞ F
Council achieved better results on sale of fleet assets.				
Other income	995	609	(386)	(39)% U
The key difference here is the original budget for "other revenues" that was included here.				

B5-1 Material budget variations (continued)

\$ '000	2023 Budget	2023 Actual	2023 ----- Variance -----	
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Expenses

Materials and services	16,245	26,602	(10,357)	(64)% U
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As detailed in Capital Grants, Council did not complete over \$8M in capital projects. Many of these costs were transferred to operating expenses. In addition \$3.4M was spent on flood restorations and over \$9M on State Roads. Additionally, many of the costs budgeted as "other expenses" (\$4M) are included in Materials and services actuals.

Borrowing costs	530	1,783	(1,253)	(236)% U
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Council undertook a revaluation of tips and quarry remediations and incurred an additional expense of over \$2M

Depreciation, amortisation and impairment of non-financial assets	17,769	20,602	(2,833)	(16)% U
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Additional deprecation expense was incurred following revaluations on water and sewer in 2021/22 as well as indexation of over \$30M in Infrastructure assets.

Other expenses	5,218	1,193	4,025	77% F
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As detailed in "materials and services" above, \$4M of these costs should have been budgeted as materials and services.

Statement of cash flows

Cash flows from investing activities	(33,489)	(42,074)	(8,585)	26% U
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As discussed above, the key variation is due to operational projects being completed rather than capital projects.

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

\$ '000	2023	2022
Cash assets		
Cash on hand and at bank	8,345	14,647
Cash equivalent assets		
– Short-term deposits	1,136	6,164
Total cash and cash equivalents	9,481	20,811

Reconciliation of cash and cash equivalents

Total cash and cash equivalents per Statement of Financial Position	9,481	20,811
Balance as per the Statement of Cash Flows	9,481	20,811

Accounting policy

For Statement of Cash Flow presentation purposes, cash and cash equivalents include: cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

C1-2 Financial investments

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Debt securities at amortised cost				
Long term deposits	40,217	–	20,772	–
Total	40,217	–	20,772	–
Total financial investments	40,217	–	20,772	–
Total cash assets, cash equivalents and investments	49,698	–	41,583	–

Accounting policy

Financial instruments are recognised initially on the date that the Council becomes party to the contractual provisions of the instrument.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Financial assets are not reclassified subsequent to their initial recognition.

C1-2 Financial investments (continued)

Amortised cost

Council's financial assets measured at amortised cost comprise trade and other receivables, term deposits and cash and cash equivalents in the Statement of Financial Position. Term deposits with an initial term of more than 3 months are classified as investments rather than cash and cash equivalents.

Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment.

Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

C1-3 Restricted and allocated cash, cash equivalents and investments

\$ '000	2023	2022
(a) Externally restricted cash, cash equivalents and investments		
Total cash, cash equivalents and investments	49,698	41,583
Less: Externally restricted cash, cash equivalents and investments	(38,919)	(35,273)
Cash, cash equivalents and investments not subject to external restrictions	10,779	6,310

External restrictions

External restrictions – included in liabilities

External restrictions included in cash, cash equivalents and investments above comprise:

Specific purpose unexpended loans – general	71	71
Specific purpose unexpended loans – water	331	1,453
Specific purpose unexpended loans – sewer	467	670
Specific purpose unexpended grants – general fund	137	563
External restrictions – included in liabilities	1,006	2,757

External restrictions – other

External restrictions included in cash, cash equivalents and investments above comprise:

Developer contributions – general	4,144	3,435
Developer contributions – water fund	1,199	1,097
Developer contributions – sewer fund	236	207
Water fund	17,457	15,889
Sewer fund	8,225	6,121
Stormwater management	626	555
Regional waste group	5,620	4,815
Regional fire zone	37	28
Other contributions	21	21
Other	216	216
Domestic waste management	132	132
External restrictions – other	37,913	32,516
Total external restrictions	38,919	35,273

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

\$ '000	2023	2022
(b) Internal allocations		
Cash, cash equivalents and investments not subject to external restrictions	10,779	6,310
Less: Internally restricted cash, cash equivalents and investments	(7,460)	(6,254)
Unrestricted and unallocated cash, cash equivalents and investments	3,319	56

C1-3 Restricted and allocated cash, cash equivalents and investments (continued)

\$ '000	2023	2022
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Internal allocations

At 30 June, Council has internally allocated funds to the following:

Plant and vehicle replacement	1,723	700
Employees leave entitlement	2,275	1,173
Implementation Funding	162	846
Stronger Councils Funds	2,571	2,806
Quarries and pit restoration	729	729
Total internal allocations	7,460	6,254

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

\$ '000	2023	2022
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(c) Unrestricted and unallocated

Unrestricted and unallocated cash, cash equivalents and investments	3,319	56
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C1-4 Receivables

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Rates and annual charges	3,889	–	3,455	–
Interest and extra charges	214	–	173	–
User charges and fees	2,595	–	4,650	–
Accrued revenues				
– Interest on investments	10	–	39	–
– Other income accruals	639	–	587	–
Deferred debtors	–	208	–	244
Net GST receivable	568	–	410	–
Other debtors	3	–	–	–
Total	7,918	208	9,314	244
Less: provision for impairment				
Rates and annual charges	(4)	–	(4)	–
User charges and fees	(165)	–	(65)	–
Other debtors	–	–	(100)	–
Total provision for impairment – receivables	(169)	–	(169)	–
Total net receivables	7,749	208	9,145	244
Externally restricted receivables				
Water supply				
– Rates and availability charges	610	–	539	–
– Other	1,814	178	2,349	213
Sewerage services				
– Rates and availability charges	756	–	654	–
– Other	40	1	33	1
Domestic waste management	389	–	1,684	–
Total external restrictions	3,609	179	5,259	214
Unrestricted receivables	4,140	29	3,886	30
Total net receivables	7,749	208	9,145	244

\$ '000	2023	2022
Movement in provision for impairment of receivables		
Balance at the beginning of the year	169	81
+ new provisions recognised during the year	72	100
– amounts already provided for and written off this year	–	(12)
Impairment loss recognised	(72)	–
Balance at the end of the year	169	169

Accounting policy

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue

C1-4 Receivables (continued)

cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 30 days past due has seen a significant increase in credit risk.

The Council uses the presumption that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 2 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Rates and annual charges outstanding are secured against the property.

C1-5 Inventories

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
(i) Inventories at cost				
Real estate for resale	123	–	123	–
Stores and materials	1,036	–	772	–
Trading stock	12	–	–	–
Total inventories at cost	1,171	–	895	–
Total inventories	1,171	–	895	–

(i) Other disclosures

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
(a) Details for real estate development				
Residential	123	–	123	–
Total real estate for resale	123	–	123	–
(Valued at the lower of cost and net realisable value)				
Represented by:				
Acquisition costs	15	–	15	–
Development costs	108	–	108	–
Total costs	123	–	123	–
Total real estate for resale	123	–	123	–
Movements:				
Real estate assets at beginning of the year	123	–	123	–
Total real estate for resale	123	–	123	–

C1-5 Inventories (continued)

Accounting policy

Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Land held for resale

Land held for resale is stated at the lower of cost and net realisable value. Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development. When development is completed, borrowing costs and other holding charges are expensed as incurred.

Borrowing costs included in the cost of land held for resale are those costs that would have been avoided if the expenditure on the acquisition and development of the land had not been made. Borrowing costs incurred while active development is interrupted for extended periods are recognised as expenses.

C1-6 Contract assets and Contract cost assets

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Contract assets	12,852	—	9,749	—
Total contract assets and contract cost assets	12,852	—	9,749	—

Contract assets

Other	12,852	—	9,749	—
Total contract assets	12,852	—	9,749	—

Significant changes in contract assets

Council completed works on roads during the 2022/23 year and issued invoices in the 2023/24 financial year.

Accounting policy

Contract assets

Contract assets represent Councils right to payment in exchange for goods or services the Council has transferred to a customer when that right is conditional on something other than the passage of time.

Contract assets arise when the amounts billed to customers are based on the achievement of various milestones established in the contract and therefore the amounts recognised as revenue in a given period do not necessarily coincide with the amounts billed to or certified by the customer. Once an invoice or payment claim is raised or the relevant milestone is reached, Council recognises a receivable.

Impairment of contract assets is assessed using the simplified expected credit loss model where lifetime credit losses are recognised on initial recognition.

C1-7 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2022 ²			Asset movements during the reporting period							At 30 June 2023		
	Gross carrying amount ²	Accumulated depreciation and impairment ²	Net carrying amount ²	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Impairment Loss/Revaluation decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000	Restated	Restated	Restated										
Capital work in progress	4,748	–	4,748	–	7,995	–	–	(2,498)	–	–	10,245	–	10,245
Plant and equipment	29,617	(18,149)	11,468	1,897	–	(415)	(2,100)	–	–	–	26,455	(15,605)	10,850
Office equipment	1,603	(1,099)	504	218	–	–	(106)	–	–	–	1,117	(501)	616
Furniture and fittings	808	(598)	210	–	–	–	(24)	–	–	–	442	(256)	186
Land:													
– Operational land	7,450	–	7,450	–	123	–	–	–	–	1,176	8,749	–	8,749
– Community land	7,597	–	7,597	–	–	–	–	–	–	5,672	13,269	–	13,269
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	1,326	(74)	1,252	–	–	–	(43)	–	–	–	1,326	(117)	1,209
Infrastructure:													
– Buildings	129,579	(66,663)	62,916	58	382	–	(3,629)	–	–	20,218	153,171	(73,226)	79,945
– Other structures	17,079	(6,253)	10,826	87	401	–	(540)	–	–	708	16,709	(5,227)	11,482
– Roads	469,427	(164,639)	304,788	8,266	166	(85)	(8,149)	–	(69)	20,127	507,276	(182,232)	325,044
– Bridges	74,609	(32,040)	42,569	35	–	–	(736)	2,472	(221)	2,784	81,774	(34,871)	46,903
– Footpaths	11,984	(3,121)	8,863	79	–	–	(160)	–	–	580	12,847	(3,485)	9,362
– Bulk earthworks (non-depreciable)	129,481	–	129,481	–	–	–	–	–	–	19,837	149,318	–	149,318
– Stormwater drainage	33,557	(20,856)	12,701	452	–	–	(338)	–	–	830	33,257	(19,612)	13,645
– Water supply network	93,914	(51,415)	42,499	2,144	20	–	(1,477)	–	–	3,277	103,319	(56,856)	46,463
– Sewerage network	88,606	(41,726)	46,880	203	–	–	(1,468)	–	–	3,614	95,640	(46,411)	49,229
– Swimming pools	15,317	(5,460)	9,857	118	–	–	(288)	26	–	645	16,340	(5,982)	10,358
– Other open space/recreational assets	17,449	(6,583)	10,866	109	540	–	(435)	–	–	711	18,902	(7,111)	11,791
Other assets:													
– Library books	815	(653)	162	–	–	–	(50)	–	–	–	255	(143)	112
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):													
– Tip assets	12,887	(4,359)	8,528	–	–	–	(957)	–	–	–	12,887	(5,316)	7,571
– Quarry assets	1,127	(421)	706	–	–	–	(80)	–	–	–	1,127	(501)	626
Total infrastructure, property, plant and equipment	1,149,051	(424,109)	724,942	13,666	9,627	(500)	(20,580)	–	(290)	80,179	1,264,496	(457,452)	807,044

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

(2) Refer to Note G4-1 for the prior period errors

C1-7 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2021			Asset movements during the reporting period							At 30 June 2022 ²		
	Gross carrying amount ²	Accumulated depreciation and impairment ²	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Impairment Loss/Revaluation on decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount Restated	Accumulated depreciation and impairment Restated	Net carrying amount ² Restated
\$ '000	Restated	Restated	Restated										
Capital work in progress	6,863	—	6,863	3,881	—	—	—	(5,996)	—	—	4,748	—	4,748
Plant and equipment	29,408	(16,897)	12,511	1,195	—	(118)	(2,171)	51	—	—	29,617	(18,149)	11,468
Office equipment	1,451	(979)	472	152	—	—	(120)	—	—	—	1,603	(1,099)	504
Furniture and fittings	808	(574)	234	—	—	—	(24)	—	—	—	808	(598)	210
Land:													
– Operational land	7,450	—	7,450	—	—	—	—	—	—	—	7,450	—	7,450
– Community land	7,597	—	7,597	—	—	—	—	—	—	—	7,597	—	7,597
Land improvements – non-depreciable	71	—	71	—	—	—	—	—	—	—	71	—	71
Land improvements – depreciable	1,125	(35)	1,090	—	201	—	(39)	—	—	—	1,326	(74)	1,252
Infrastructure:													
– Buildings	—	—	—	—	—	—	—	—	—	—	129,579	(66,663)	62,916
– Buildings – non-specialised	103,827	(49,024)	54,803	309	—	—	(2,919)	—	—	—	—	—	—
– Buildings – specialised	25,132	(14,021)	11,111	311	—	—	(699)	—	—	—	—	—	—
– Other structures	13,355	(5,358)	7,997	—	2,099	—	(408)	409	—	729	17,079	(6,253)	10,826
– Roads	404,083	(145,847)	258,236	28,677	—	(1,607)	(7,057)	4,411	(621)	22,749	469,427	(164,639)	304,788
– Bridges	61,597	(28,897)	32,700	—	6,504	—	(606)	1,099	—	2,872	74,609	(32,040)	42,569
– Footpaths	10,051	(2,746)	7,305	—	1,051	—	(134)	—	—	641	11,984	(3,121)	8,863
– Bulk earthworks (non-depreciable)	129,481	—	129,481	—	—	—	—	—	—	—	129,481	—	129,481
– Stormwater drainage	30,676	(18,887)	11,789	187	—	—	(311)	—	—	1,036	33,557	(20,856)	12,701
– Water supply network	78,145	(35,024)	43,121	955	—	—	(998)	—	(579)	—	93,914	(51,415)	42,499
– Sewerage network	75,473	(31,192)	44,281	2,538	—	—	(1,386)	26	—	1,421	88,606	(41,726)	46,880
– Swimming pools	13,992	(4,760)	9,232	51	—	—	(266)	—	—	840	15,317	(5,460)	9,857
– Other open space/recreational assets	15,651	(5,675)	9,976	372	—	—	(391)	—	—	909	17,449	(6,583)	10,866
Other assets:													
– Library books	774	(576)	198	42	—	—	(78)	—	—	—	815	(653)	162
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):													
– Tip assets	12,412	(3,336)	9,076	—	475	—	(1,023)	—	—	—	12,887	(4,359)	8,528
– Quarry assets	1,170	(337)	833	—	(43)	—	(84)	—	—	—	1,127	(421)	706
Total infrastructure, property, plant and equipment	1,030,592	(364,165)	666,427	38,670	10,287	(1,725)	(18,714)	—	(1,200)	31,197	1,149,051	(424,109)	724,942

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

(2) Refer to Note G4-1 for the prior period errors

C1-7 Infrastructure, property, plant and equipment (continued)

Accounting policy

ASSET POLICY

Infrastructure, property, plant and equipment (I,PP&E)

Acquisition of assets

Council's non-current assets are continually revalued (over a 5-year period) in accordance with the fair valuation policy as mandated by the Office of Local Government.

At balance date, the following classes of I,PP&E were stated at their fair value:

- **Operational Land**
(External Valuation as at 30/6/23)
- **Buildings – Specialised**
(External Valuation as at 30/6/23)
- **Buildings – Non Specialised**
(External Valuation as at 30/6/23)
- **Plant and Equipment**
(Fair Value approximated by depreciated historical cost)
- **Roads Assets Including Kerb and Guttering**
(External Valuation as at 30/6/20 and indexation to 30/6/23)
- **Bridges**
(External Valuation as at 30/6/20 and indexation to 30/6/23)
- **Footpaths**
(External Valuation as at 30/6/20 and indexation to 30/6/23)
- **Bulk Earthworks**
(External Valuation as at 30/6/20 and indexation to 30/6/23)
- **Stormwater Drainage**
(External Valuation as at 30/6/20 and indexation to 30/6/23)
- **Community Land**
(External Valuation as at 30/6/23)
- **Land Improvements**
(External Valuation as at 30/6/23)
- **Water Supply Network**
(Internal Valuation as at 30/6/22 and indexation to 30/6/23)
- **Sewer Network**
(Internal Valuation as at 30/6/22 and indexation to 30/6/23)
- **Open Space Recreation**
(External Valuation as at 30/6/19 and indexation to 30/6/23)
- **Swimming Pools**
(External Valuation as at 30/6/19 and indexation to 30/6/23)
- **Other Structures**
(External Valuation as at 30/6/19 and indexation to 30/6/23)
- **Library Books**
(Fair Value approximated by depreciated historical cost)
- **Office Equipment Furniture & Fittings**
(Fair Value approximated by depreciated historical cost)
- **Reinstatements**
(External valuation 30/6/23)

C1-7 Infrastructure, property, plant and equipment (continued)

Initial recognition

IPPE is measured initially at cost. Cost includes the fair value of the consideration given to acquire the asset (net of discounts and rebates) and any directly attributable cost of bringing the asset to working condition for its intended use (inclusive of import duties and taxes).

When infrastructure, property, plant and equipment is acquired by Council at significantly below fair value, the assets are initially recognised at their fair value at acquisition date.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the Income Statement during the financial period in which they are incurred.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably.

All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Asset revaluations (including indexation)

In accounting for asset revaluations relating to infrastructure, property, plant and equipment:

- increases in the combined carrying amounts of asset classes arising on revaluation are credited to the asset revaluation reserve,
- to the extent that a net asset class increase reverses a decrease previously recognised via the profit or loss, then increase is first recognised in profit or loss,
- net decreases that reverse previous increases of the same asset class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the asset, with all other decreases charged to the Income Statement.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided by Department of Planning and Environment - Water. A complete internal valuation was completed at 30 June 2022.

For all other assets, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date.

If any such indication exists, Council determines the asset's fair value and revalues the asset to that amount. Indexations to all infrastructure assets occurred as at 30 June 2023.

Full revaluations are undertaken for all assets on a 5-year cycle.

Capitalisation thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following;

Land

- Operational land	100% Capitalised
- Community land	100% Capitalised
- Open space	100% Capitalised
- Land under roads (purchases after 30/6/08)	100% Capitalised
- Land Improvement	> \$5,000

Plant and Equipment

Plant & Equipment	> \$5,000
Office Furniture	> \$5,000
Office Equipment	> \$5,000

Building

- Buildings Specialised	> \$10,000
- Buildings Non-Specialised	> \$10,000
- Buildings Other	> \$5,000

Water Supply Network

Reticulation extensions	> \$5,000
Other	> \$5,000

C1-7 Infrastructure, property, plant and equipment (continued)

Sewer Network

Reticulation extensions	> \$5,000
Other	> \$5,000

Stormwater Assets

Drains and Culverts	> \$5,000
Other	> \$5,000

Road Assets

Road construction and reconstruction	> \$10,000
Bridge construction and reconstruction	> \$10,000
Footpaths	> \$5,000
Kerb & Gutter	> \$5,000

Other Infrastructure Assets

Swimming Pools	> \$5,000
Open Space/Recreational Assets	> \$5,000
Other Structures	> \$5,000

Quarries & Pits

Library Books	> \$5,000
- Books & Equipment	> \$5,000

Depreciation

Depreciation on Council's infrastructure, property, plant and equipment assets is calculated using the straight-line method in order to allocate an asset's cost over its estimated useful life.

Land is not depreciated.

Estimated useful lives for Council's I, PP and E include:

Plant and Equipment

- Office Equipment	4 to 20 years
- Office furniture	4 to 25 years
- Computer Equipment	4 years
- Light Vehicles	4 to 10 years
- Heavy Plant/Road Making equip.	5 to 10 years
- Other plant and equipment	5 to 20 years

Other Equipment

- Playground equipment	10 to 100 years
- Benches, seats etc	10 to 20 years

Buildings

- Buildings Specialised	20 to 110 years
- Buildings Non-Specialised	20 to 100 years
- Buildings Other	20 to 100 years

Stormwater Drainage

- Drains	80 to 100 years
- Culverts	80 to 100 years

Road Assets

- Sealed Roads: Surface	20 to 100 years
- Sealed Roads: Structure	20 to 100 years
- Bridge: Concrete	70 to 100 years
- Footpaths	15 to 80 years
- Kerb & Gutter	50 to 100 years
- Bulk earthworks	Not Depreciated

C1-7 Infrastructure, property, plant and equipment (continued)

Water and Sewer Assets

- Dams and reservoirs	20 to 100 years
- Reticulation pipes	6 to 135 years
- Pumps and telemetry	13 to 80 years

Other Infrastructure Assets

- Bulk earthworks	Not Depreciated
- Swimming Pools	5 to 80 years
- Open Space Recreational Assets	5 to 100 years
- Other Structures	10 to 100 years

Quarries & Pits

3-5 Years

Library Books

- Books & Equipment	5 Years
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All asset values and useful lives are reviewed and adjusted (if appropriate) at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Disposal and derecognition

An item of property, plant and equipment is derecognised upon disposal or when no further future economic benefits are expected from its use or disposal.

Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Council's Income Statement in the year the asset is derecognised.

Land

Land (other than land under roads) is in accordance with Part 2 of Chapter 6 of the *Local Government Act (1993)* classified as either operational or community.

Land under roads

Land under roads is land under roadways and road reserves, including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council.

While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Provisions for Restoration and for Environmental Clean-up Costs – including Tips and Quarries

Close down, restoration and remediation costs include the dismantling and demolition of infrastructure, the removal of residual materials and the remediation of disturbed areas.

Estimated close down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

C1-7 Infrastructure, property, plant and equipment (continued)

Provisions for close down and restoration costs do not include any additional obligations that are expected to arise from future disturbance.

Costs are estimated on the basis of a closure plan.

The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Close down, restoration and remediation costs are a normal consequence of tip and quarry operations, and the majority of close down and restoration expenditure is incurred at the end of the life of the operations.

Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

The amortisation or 'unwinding' of the discount applied in establishing the net present value of provisions is charged to the Income Statement in each accounting period.

This amortisation of the discount is disclosed as a borrowing cost in Note B3-3.

Other movements in the provisions for close down, restoration and remediation costs including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations and revisions to discount rates are reflected in movements to asset revaluation reserve.

These costs are then depreciated over the lives of the assets to which they relate.

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each balance sheet date and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the balance sheet date.

These costs are charged to the Income Statement.

Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount, which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques or experience at other locations.

The expected timing of expenditure can also change, for example, in response to changes in quarry reserves or production rates.

As a result there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Specific information about Council's provisions relating to close down, restoration and remediation costs can be found at Note C3-5.

Impairment of assets

All Council's I,PP&E is subject to an annual assessment of impairment.

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

C1-7 Infrastructure, property, plant and equipment (continued)

Where an asset is not held principally for cash-generating purposes (for example infrastructure assets) and would be replaced if the Council was deprived of it, then depreciated replacement cost is used as value in use, otherwise value in use is estimated by using a discounted cash flow model.

Non-financial assets (other than goodwill) that suffered a prior period impairment are reviewed for possible reversal of the impairment at each reporting date.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, “all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed”.

Until such time as discussions on this matter have concluded and the legislation changed, Council will recognise rural fires service assets including land and buildings, but will not recognise plant and vehicles.

C2 Leasing activities

C2-1 Council as a lessee

Council has a lease over photocopiers in the asset class office equipment. Information relating to the leases in place and associated balances and transactions is provided below.

Office and IT equipment

Leases for office and IT equipment are generally for low value assets, except for significant items such as photocopiers. The leases are for between 3 and 8 years with no renewal option, the payments are fixed, however some of the leases include variable payments based on usage.

(a) Right of use assets

\$ '000	Plant & Equipment	Office Equipment	Total
2023			
Opening balance at 1 July	–	71	71
Depreciation charge	–	(22)	(22)
Balance at 30 June	–	49	49
2022			
Opening balance at 1 July	404	92	496
Depreciation charge	–	(21)	(21)
Other movement	(404)	–	(404)
Balance at 30 June	–	71	71

(b) Lease liabilities

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Lease liabilities	21	29	21	50
Total lease liabilities	21	29	21	50

(c) (i) The maturity analysis

The maturity analysis of lease liabilities based on contractual undiscounted cash flows is shown in the table below:

\$ '000	< 1 year	1 – 5 years	> 5 years	Total	Total per Statement of Financial Position
2023					
Cash flows	21	29	–	50	50
2022					
Cash flows	21	50	–	71	71

C2-1 Council as a lessee (continued)

(d) Income Statement

The amounts recognised in the Income Statement relating to leases where Council is a lessee are shown below:

\$ '000	2023	2022
Interest on lease liabilities	1	1
Depreciation of right of use assets	22	21
Expenses relating to short-term leases	21	21
	44	43

(e) Statement of Cash Flows

Total cash outflow for leases	(44)	(44)
	(44)	(44)

(f) Leases at significantly below market value – concessionary / peppercorn leases

Accounting policy

At inception of a contract, Council assesses whether a lease exists – i.e. does the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration?

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

At the lease commencement, Council recognises a right-of-use asset and associated lease liability for the lease term. The lease term includes extension periods where Council believes it is reasonably certain that the option will be exercised.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives received. The right-of-use asset is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest rate method. The lease liability is re-measured when there is a lease modification, or change in estimate of the lease term or index upon which the lease payments are based (e.g. CPI).

Where the lease liability is re-measured, the right-of-use asset is adjusted to reflect the re-measurement.

Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

Leases at significantly below market value / Concessionary leases

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

C2-2 Council as a lessor

Operating leases

Council leases out a number of properties and /or plant and equipment to community groups; these leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E (refer in this note part (v) below) in the Statement of Financial Position.

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

\$ '000	2023	2022
(i) Assets held as property, plant and equipment		
Council provides operating leases on Council buildings for the purpose of commercial occupation, the table below relates to operating leases on assets disclosed in C1-8.		
Lease income (excluding variable lease payments not dependent on an index or rate)	609	681
Total income relating to operating leases for Council assets	609	681

Accounting policy

When Council is a lessor, the lease is classified as either an operating or finance lease at inception date, based on whether substantially all of the risks and rewards incidental to ownership of the asset have been transferred to the lessee. If the risks and rewards have been transferred then the lease is classified as a finance lease, otherwise it is an operating lease.

When Council has a sub-lease over an asset and is the intermediate lessor then the head lease and sub-lease are accounted for separately. The classification of the sub-lease is based on the right-of-use asset which arises from the head lease rather than the useful life of the underlying asset.

If the lease contains lease and non-lease components, the non-lease components are accounted for in accordance with AASB 15 *Revenue from Contracts with Customers*.

The lease income is recognised on a straight-line basis over the lease term for an operating lease and as finance income using amortised cost basis for finance leases.

C3 Liabilities of Council

C3-1 Payables

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Payables				
Goods and services – operating expenditure	898	–	571	–
Goods and services – capital expenditure	1	–	1	–
Accrued expenses:				
– Borrowings	45	–	48	–
– Salaries and wages	436	–	387	–
– Other expenditure accruals	1,973	68	1,312	72
Funds held for Section 355 Committees	139	–	139	–
Security bonds, deposits and retentions	1,021	–	1,004	–
Sale of Land Deposits	352	–	333	–
ATO – net GST payable	46	–	56	–
Government departments and agencies	23	–	7	–
Other	97	–	69	–
Total payables	5,031	68	3,927	72
Total payables	5,031	68	3,927	72

Payables relating to restricted assets

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Externally restricted assets				
Water	692	–	628	–
Sewer	91	–	69	–
Payables relating to externally restricted assets	783	–	697	–
Total payables relating to restricted assets	783	–	697	–
Total payables relating to unrestricted assets	4,248	68	3,230	72
Total payables	5,031	68	3,927	72

Current payables not anticipated to be settled within the next twelve months

\$ '000	2023	2022
The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.		
Payables – security bonds, deposits and retentions	785	831
Total payables	785	831

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

\$ '000	Notes	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	11,075	–	7,103	–
Unexpended operating grants (received prior to performance obligation being satisfied)	(ii)	419	–	147	–
Total grants received in advance		11,494	–	7,250	–
User fees and charges received in advance:					
Other		1,116	–	969	–
Total user fees and charges received in advance		1,116	–	969	–
Total contract liabilities		12,610	–	8,219	–

Notes

(i) Council has received funding to construct assets including sporting facilities, bridges, library and other infrastructure. The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

Revenue recognised that was included in the contract liability balance at the beginning of the period

\$ '000	2023	2022
Grants and contributions received in advance:		
Capital grants (to construct Council controlled assets)	3,755	3,818
Total revenue recognised that was included in the contract liability balance at the beginning of the period	3,755	3,818

Significant changes in contract liabilities

Council received additional grant funding under the Local Roads Capital Improvement Program (LRCIP) which could not be spent during the current year.

Accounting policy

Contract liabilities are recorded when consideration is received from a customer / fund provider prior to Council transferring a good or service to the customer, Council presents the funds which exceed revenue recognised as a contract liability.

C3-3 Borrowings

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Loans – secured ¹	1,800	11,877	1,853	13,664
Total borrowings	1,800	11,877	1,853	13,664

(1) Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

C3-3 Borrowings (continued)

Borrowings relating to restricted assets

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Externally restricted assets				
Water	348	2,200	342	2,547
Sewer	675	7,802	697	8,463
Borrowings relating to externally restricted assets	1,023	10,002	1,039	11,010
Total borrowings relating to restricted assets	1,023	10,002	1,039	11,010
Total borrowings relating to unrestricted assets	777	1,875	814	2,654
Total borrowings	1,800	11,877	1,853	13,664

(a) Changes in liabilities arising from financing activities

\$ '000	2022		Non-cash movements				2023
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	15,517	(1,840)	–	–	–	–	13,677
Lease liability (Note C2-1b)	71	(21)	–	–	–	–	50
Total liabilities from financing activities	15,588	(1,861)	–	–	–	–	13,727

\$ '000	2021		Non-cash movements				2022
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	17,182	(1,665)	–	–	–	–	15,517
Lease liability (Note C2-1b)	522	(451)	–	–	–	–	71
Total liabilities from financing activities	17,704	(2,116)	–	–	–	–	15,588

(b) Financing arrangements

\$ '000	2023	2022
Total facilities		
Bank overdraft facilities ¹	480	2,000
Credit cards/purchase cards	100	400
Total financing arrangements	580	2,400
Drawn facilities		
– Credit cards/purchase cards	9	34
Total drawn financing arrangements	9	34
Undrawn facilities		
– Bank overdraft facilities	480	2,000
– Credit cards/purchase cards	91	366
Total undrawn financing arrangements	571	2,366

(1) The bank overdraft facility may be drawn at any time and may be terminated by the bank without notice.

continued on next page ...

C3-3 Borrowings (continued)

Breaches and Defaults

During the current and prior year, there were no defaults or breaches on any of the loans.

Security over Loans

Loans are secured over the General rating Income of Council.

Lease liabilities are secured by the underlying leased assets.

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or borrowing costs.

C3-4 Employee benefit provisions

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Annual leave	1,936	–	1,840	–
Sick leave	533	–	606	–
Long service leave	2,487	1,339	2,476	1,368
RDO leave	287	–	301	–
Total employee benefit provisions	5,243	1,339	5,223	1,368

Current employee benefit provisions not anticipated to be settled within the next twelve months

\$ '000	2023	2022
The following provisions, even though classified as current, are not expected to be settled in the next 12 months.		
Provisions – employees benefits	3,388	3,658
	3,388	3,658

Accounting policy

Employee benefit provisions are presented as current liabilities in the Statement of Financial Position if Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur and therefore all annual leave and vested long service leave (or that which vests within 12 months) is presented as current.

Short-term obligations

Liabilities for wages and salaries (including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service) are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

Other long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

C3-5 Provisions

\$ '000	2023 Current	2023 Non-Current	2022 ¹ Current Restated	2022 ¹ Non-Current Restated
Asset remediation/restoration:				
Asset remediation/restoration (future works)	4,507	18,874	3,546	21,072
Sub-total – asset remediation/restoration	4,507	18,874	3,546	21,072
Total provisions	4,507	18,874	3,546	21,072

(1) Refer to Note G4-1 for the prior period errors

C3-5 Provisions (continued)

Description of and movements in provisions

\$ '000	Other provisions	
	Asset remediation	Total
2023		
At beginning of year (restated)	24,618	24,618
Changes to provision:		
– Revised costs	(2,534)	(2,534)
Unwinding of discount	1,297	1,297
Total other provisions at end of year	23,381	23,381
2022		
At beginning of year (restated)	26,206	26,206
Changes to provision:		
– Revised costs	(2,539)	(2,539)
Unwinding of discount	951	951
Total other provisions at end of year	24,618	24,618

Accounting policy

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as a borrowing cost.

Asset remediation – tips and quarries

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs. Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

The ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are reflected in movements to the asset revaluation reserve.

C4 Reserves

C4-1 Nature and purpose of reserves

IPPE Revaluation reserve

The infrastructure, property, plant and equipment (IPPE) revaluation reserve is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water, sewer, South West Rural Fire Zone and South West Regional Waste Management. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer and other columns are restricted for use for these activities.

D1-1 Income Statement by fund

\$ '000	Other * 2023	General 2023	Water 2023	Sewer 2023
Income from continuing operations				
Rates and annual charges	–	17,372	3,452	4,724
User charges and fees	–	9,719	4,978	52
Interest and investment revenue	85	616	268	143
Other revenues	–	1,143	–	–
Grants and contributions provided for operating purposes	2,181	20,948	(108)	–
Grants and contributions provided for capital purposes	–	11,986	86	25
Net gains from disposal of assets	–	128	–	–
Other income	–	609	–	–
Total income from continuing operations	2,266	62,521	8,676	4,944
Expenses from continuing operations				
Employee benefits and on-costs	12	19,353	1,007	520
Materials and services	1,483	18,870	5,089	1,160
Borrowing costs	–	1,390	43	350
Depreciation, amortisation and impairment of non-financial assets	95	17,512	1,502	1,493
Other expenses	–	1,193	–	–
Total expenses from continuing operations	1,590	58,318	7,641	3,523
Operating result from continuing operations	676	4,203	1,035	1,421
Net operating result for the year	676	4,203	1,035	1,421
Net operating result attributable to each council fund	676	4,203	1,035	1,421
Net operating result for the year before grants and contributions provided for capital purposes	676	(7,783)	949	1,396

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

D1-2 Statement of Financial Position by fund

\$ '000	Other 2023	General 2023	Water 2023	Sewer 2023
ASSETS				
Current assets				
Cash and Investments	5,657	16,126	18,987	8,928
Receivables	179	4,350	2,424	796
Inventories	—	1,171	—	—
Contract assets and contract cost assets	—	12,852	—	—
Total current assets	5,836	34,499	21,411	9,724
Non-current assets				
Receivables	—	29	178	1
Infrastructure, property, plant and equipment	12,135	697,275	46,886	50,748
Right of use assets	—	49	—	—
Total non-current assets	12,135	697,353	47,064	50,749
Total assets	17,971	731,852	68,475	60,473
LIABILITIES				
Current liabilities				
Payables	356	3,892	692	91
Contract liabilities	—	12,610	—	—
Lease liabilities	—	21	—	—
Borrowings	—	777	348	675
Employee benefit provision	—	4,929	205	109
Provisions	—	4,507	—	—
Total current liabilities	356	26,736	1,245	875
Non-current liabilities				
Payables	—	68	—	—
Lease liabilities	—	29	—	—
Borrowings	—	1,875	2,200	7,802
Employee benefit provision	—	1,339	—	—
Provisions	11,446	7,428	—	—
Total non-current liabilities	11,446	10,739	2,200	7,802
Total liabilities	11,802	37,475	3,445	8,677
Net assets	6,169	694,377	65,030	51,796
EQUITY				
Accumulated surplus	6,167	506,746	59,999	44,202
Revaluation reserves	2	187,631	5,031	7,594
Council equity interest	6,169	694,377	65,030	51,796
Total equity	6,169	694,377	65,030	51,796

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's financial assets and financial liabilities recognised in the financial statements is presented below.

\$ '000	Carrying value 2023	Carrying value 2022	Fair value 2023	Fair value 2022
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	9,481	20,811	9,481	20,811
Receivables	7,957	9,389	7,957	10,687
Investments				
– Debt securities at amortised cost	40,217	20,772	40,217	20,772
Total financial assets	57,655	50,972	57,655	52,270
Financial liabilities				
Payables	5,099	3,999	5,099	3,999
Borrowings	13,677	15,517	13,677	15,517
Total financial liabilities	18,776	19,516	18,776	19,516

Fair value is determined as follows:

- **Cash and cash equivalents, receivables, payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings and measure at amortised cost investments** – are based upon estimated future cash flows discounted by the current market interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.
- Financial assets classified (i) **at fair value through profit and loss** or (ii) **at fair value through other comprehensive income** – are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with the assistance of independent advisors.

Council has an investment policy which complies with the Local Government Act 1993 and Minister's investment order 625. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance as required by Local Government regulations.

The risks associated with the instruments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether the changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Liquidity risk** – the risk that Council will not be able to pay its debts as and when they fall due.

E1-1 Risks relating to financial instruments held (continued)

- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

Council also seeks advice from independent advisers before placing any funds in cash equivalents and investments.

(a) Market risk – interest rate and price risk

\$ '000	2023	2022
The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.		
Impact of a 1% movement in interest rates		
– Equity / Income Statement	402	207
Impact of a 10% movement in price of investments		
– Equity / Income Statement	–	–

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

\$ '000	Not yet overdue	overdue rates and annual charges < 5 years	≥ 5 years	Total
2023				
Gross carrying amount	125	3,608	156	3,889
2022				
Gross carrying amount	247	2,963	245	3,455

Receivables - non-rates and annual charges and contract assets

Council applies the simplified approach for non-rates and annual charges debtors and contract assets to provide for expected credit losses, which permits the use of the lifetime expected loss provision at inception. To measure the expected credit losses, non-rates and annual charges debtors and contract assets have been grouped based on shared credit risk characteristics and the days past due.

E1-1 Risks relating to financial instruments held (continued)

The loss allowance provision is determined as follows. The expected credit losses incorporate forward-looking information.

\$ '000	Not yet overdue	Overdue debts				Total
		0 - 30 days	31 - 60 days	61 - 90 days	> 91 days	
2023						
Gross carrying amount	15,420	47	43	801	778	17,089
Expected loss rate (%)	0.00%	0.00%	5.00%	8.30%	12.50%	0.97%
ECL provision	—	—	2	66	97	165
2022						
Gross carrying amount	12,547	51	1,186	22	2,046	15,852
Expected loss rate (%)	0.00%	0.00%	1.60%	3.20%	7.10%	1.04%
ECL provision	—	—	19	1	145	165

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total contractu al cash flows	Actual carrying values
\$ '000							
2023							
Payables	0.00%	1,021	4,010	68	–	5,099	5,099
Borrowings	3.60%	–	1,800	6,622	5,255	13,677	13,677
Total financial liabilities		1,021	5,810	6,690	5,255	18,776	18,776
2022							
Payables	0.00%	1,004	2,923	72	–	3,999	3,999
Borrowings	3.60%	–	1,853	7,083	6,581	15,517	15,517
Total financial liabilities		1,004	4,776	7,155	6,581	19,516	19,516

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

– Infrastructure, property, plant and equipment

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value measurement hierarchy									
\$ '000	Notes	Date of latest valuation		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2023	2022	2023	2022	2023	2022 ¹	2023	2022
							Restated		Restated
Recurring fair value measurements									
Infrastructure, property, plant and equipment		C1-7							
Plant & Equipment	30/06/23	30/6/2018	—	—	10,850	11,468	10,850	11,468	
Office Equipment, Furniture & Fittings	30/06/23	30/6/2018	—	—	803	714	803	714	
Operational Land	30/06/23	30/6/2018	8,749	7,450	—	—	8,749	7,450	
Community Land	30/06/23	30/6/2018	—	—	13,269	7,597	13,269	7,597	
Land Improvements	30/06/23	30/6/2018	—	—	1,280	1,323	1,280	1,323	
Buildings	30/06/23	30/6/2018	—	—	79,945	62,916	79,945	62,916	
Other structures	30/06/23	30/6/2022	—	—	11,482	10,826	11,482	10,826	
Roads	30/06/23	30/6/2022	—	—	315,456	295,595	315,456	295,595	
Bridges	30/06/23	30/6/2022	—	—	46,903	42,569	46,903	42,569	
Footpaths	30/06/23	30/6/2022	—	—	9,362	8,863	9,362	8,863	
Kerb & Gutter	30/06/23	30/6/2022	—	—	9,588	9,193	9,588	9,193	
Bulk Earthworks	30/06/23	30/6/2020	—	—	149,318	129,481	149,318	129,481	
Stormwater Drainage	30/06/23	30/6/2022	—	—	13,645	12,701	13,645	12,701	
Water Supply Network	30/06/23	30/6/2022	—	—	46,463	42,499	46,463	42,499	
Sewer Network	30/06/23	30/6/2022	—	—	49,229	46,880	49,229	46,880	
Swimming Pools	30/06/23	30/6/2022	—	—	10,358	9,857	10,358	9,857	
Other Open Space & Recreational Assets	30/06/23	30/6/2022	—	—	11,791	10,866	11,791	10,866	
Library Books	30/06/18	30/6/2018	—	—	112	162	112	162	
Reinstatements	30/06/23	30/6/2019	—	—	8,207	9,234	8,207	9,234	
Total infrastructure, property, plant and equipment			8,749	7,450	788,061	712,744	796,810	720,194	

Non-recurring fair value measurements

(1) Refer to Note G4-1 for the prior period errors

Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

E2-1 Fair value measurement (continued)

Valuation techniques

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment (IPPE)

Plant and equipment

Council's Plant and Equipment incorporates

- Major plants- graders, loaders, rollers, trucks, tractors
- Fleet Vehicles- Cars, Utes etc.
- Minor Plant – Pumps, Chainsaws, brush cutters, mowers, concrete mixers, movie projectors

Council fair values plant and equipment using level 3 inputs. The unobservable Level 3 inputs used

- Quoted price for similar assets
- Purchase price
- Useful life of asset
- Current replacement Cost

The 'Cost Approach' is used to value Plant & Equipment

Furniture and fittings

Council's Furniture & Fittings incorporates

- Furniture and fittings- Desks, Chairs, Display Systems

Council fair values furniture fittings using level 3 inputs. The unobservable level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

The 'Cost Approach' is used to value Furniture & Fittings

Property, office equipment

Council's Office Equipment incorporates:

- Office Equipment: copiers, telephone system, projectors, fridges etc.

Council fair values office equipment using level 3 inputs. The unobservable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

Infrastructure – Roads/Bulk Earthworks

The road carriageway is defined as the trafficable portion of a road, between but not including the kerb and gutter and would include any paved makers parking places alongside roadside.

Council's Road Asset Data contains detailed dimensions and specification for all Council roads.

Council fair values, road infrastructure using Level 3 inputs at a component level.

The 'Cost Approach' is used to value roads by componentising the assets into significant parts and then rolling up these component values to provide an overall road valuation (for each road segment) within Council's Asset System.

Level of componentisation adopted by Council is in accordance with AASB 116, OLG Circular 09-09 and the Institute of Public Work Engineers International Infrastructure Management Manual (IIMM).

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Useful life and residual value

E2-1 Fair value measurement (continued)

- Asset Condition
- Dimensions and Specification
- Remaining Life of Carriageway
- Unit Rates

Infrastructure - Bridges

A bridge is defined as all structures that convey a road, a footpath or a cycleway across any other physical feature (including waterways and other roads) but do not include culverts.

Council Road Asset Data contains detailed dimensions and specification for all Council's bridges.

Council fair values bridges (non- componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of bridges takes into consideration the various type of structures such as:

- Bridge Deck & Superstructure
- Bridge Abutments & Foundations
- Bridge rails and hand rails

There were no changes in valuation technique from prior year.

The 'Cost Approach' is used to value bridges.

Infrastructure - Footpaths

A footpath is defined as all footways (including those shared with a cycleway) sealed or non-sealed.

Council Road Asset Data contains detailed dimensions and specifications for all Council footpaths.

Council fair values footpaths (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Asset Condition
- Dimensions and Specification
- Unit Rates

In additions, the value of footpaths takes into consideration the various type of structure such as:

- Length
- Construction Materials

The 'Cost Approach' is used to value footpaths.

Infrastructure - Drainage

Council's Drainage Assets comprises pits, pipes, culverts, open channels, headwalls used to collect and remove stormwater.

Council carries fair values for drainages assets (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of drainage assets takes into consideration the various type if structure such as:

- Pipe Diameter
- Pit Type
- Water Quality Device Type

E2-1 Fair value measurement (continued)

- Culverts and Headwall Constructions Type

The 'Cost Approach' is used to value drainage assets.

Property: - Operational Land

Council's "Operational" land by definition has no special restriction other than those that may apply to any piece of land.

Council carries fair values operational land by an External Valuer every 5 years (last valuation being 2023) using Level 2 inputs.

The unobservable Level 2 inputs used include:

- Land Area
- Rate per square Metre
- Planning and Other Restrictions
- Description of Land

The 'Market Approach' is used to value the Operational Land.

Property: - Community Land

Council's "Community" land (including owned by Council, the Crown and various other Government Agencies that is managed by Council) by definition is land intended for public access and use or where other restrictions applying to the land create some obligation to maintain public access (such as a trust deed, dedication under section 94 of the Environment Planning and Assessment Act 1979). This gives rise to the restrictions in the Act, intended to preserve the qualities of the land.

Community Land:

- Cannot be sold
- Cannot be leased, licensed, or any other estate granted over the land for more than 21 years and
- Must have a plan of management for it

In relation to Community Land the Division of Local Government has reviewed its positions on the use of the Valuer General's Valuations of community land and in association with the Local Government Accounting Advisory Group, the Division has determined that community land may be valued as follows.

- The NSW Valuer General's valuations may be used under revaluation model to represent fair value for the revaluation of community land under clause 31 of AASB 116.

Council fair values community land using unobservable Level 3 inputs based on inputs on either the UCV (Unimproved Capital Value) provided by the Valuer General or an average unit rate based on the UCV and allocated by Council against those properties where the Valuer General did not provide a UCV.

Community land is valued using a Market approach. Land values obtained from the NSW Valuer-General.

Land improvements

Council's Land improvements incorporates

- Sprinkler & Watering Systems
- Cemetery Irrigation

Council carries fair values of land reserves using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of consumption
- Asset Condition
- Dimensions and Specification

The 'Cost Approach' is used to value the land improvements

Buildings (specialised and non-specialised) Property:

Council Buildings incorporates Council administration buildings, Libraries, Public Amenities, Sporting Club Houses, Kiosks and Amenities, Depot Buildings and workshops, Halls & Community Centres and Rural Fire Service Buildings.

Council measures Buildings at Fair Value using the cost approach. Valuations are generally carried out by an external Valuer using the cost approach. This approach estimates the replacement cost for each building by componentising the building (for complex structures) into significant parts with different useful life and taking in to account a range of factors. Buildings are

E2-1 Fair value measurement (continued)

physically inspected and although rates based on square meters could be supported from the market evidence, extensive professional judgement, and condition and consumption rates etc. impact significantly on the final value determination of fair value. As such these assets are classified as having being valued using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Consumption rate
- Future Economic Benefits
- Condition
- Useful Life of an asset

The 'Cost Approach' is used to value specialised buildings

Other structures, swimming pools, open space and recreation:

Council's other structures incorporates the following types of assets:

- Significant single assets such as swimming pools, playgrounds, floodlighting system, tennis courts, tennis shelters, grandstands etc. and
- Aggregated lower value assets such as recreational / park infrastructures (picnic tables, seats, bollards, fences BBQs etc.)

Council carries fair value of other structures assets (non-componentised) using Level 3 inputs. Such valuations are undertaken by Council Staff or by an external valuer depending on the structure.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates

The "Cost Approach" is used to value other structures

Water supply network

Council's Water Supply Network incorporates:

- Water Lines
- Water Meters
- Pumping Stations
- Reservoirs

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are under taken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The "Cost Approach" is used to value other structures

Sewerage network

Council's Sewerage Network incorporates:

- Sewer Lines
- Pump Stations
- Sewer Treatment Plant

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition

E2-1 Fair value measurement (continued)

- Components
- Dimensions and specifications
- Unit Rates.

Fair value measurements using significant unobservable inputs (level 3)

Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

\$ '000	Fair value (30/6/23) 2023	Valuation technique/s	Unobservable inputs
Infrastructure, property, plant and equipment			
Plant and equipment	10,850	Cost approach	Gross Replacement cost, useful life, residual value
Office equipment	802	Cost approach	Gross Replacement cost, useful life, residual value
Community land	7,720	Market approach - values from Valuer General	Land Value, Land area
Land improvements	1,280	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Buildings	80,129	Cost approach	Cost per sq metre, consumption rate. Condition, useful life
Other structures	11,482	Cost approach	Asset Condition, remaining life, residual value
Roads	325,044	Cost approach	Asset Condition, remaining life, residual value
Bridges	46,903	Cost approach	Asset Condition, remaining life, residual value
Footpaths	9,362	Cost approach	Asset Condition, remaining life, residual value
Bulk earthworks	129,481	Cost approach	Cost per sq Metre
Stormwater drainage	13,645	Cost approach	Asset Condition, remaining life, residual value
Water supply network	46,463	Cost approach	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage network	49,229	Cost approach	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming pool	10,358	Cost approach	Cost per unit

E2-1 Fair value measurement (continued)

A reconciliation of the movements in recurring fair value measurements allocated to Level 3 of the hierarchy is provided below:

\$ '000	IPP & E	
	2023	2022 ¹ Restated
Opening balance	712,744	651,508
Purchases (GBV)	17,796	51,072
Disposals (WDV)	(500)	(1,725)
Depreciation and impairment	(20,580)	(18,108)
Fair value changes	78,601	29,997
Closing balance	788,061	712,744

(1) Refer to Note G4-1 for the prior period errors

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled Employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are::

Division B	1.9 times member contributions for non-180 Point Members; Nil for 180 Point Members*
Division C	2.5% salaries
Division D	1.64 times member contributions

* For 180 Point Members, Employers are required to contribute 8% of salaries for the year ending 30 June 2023 (increasing to 8.5% in line with the increase in the Superannuation Guarantee) to these members' accumulation accounts, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$20.0 million per annum from 1 January 2022 to 31 December 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June 2022. These past service contributions are used to maintain the adequacy of the funding position for the accrued liabilities.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

There is no provision for allocation of any surplus which may be present at the date of withdrawal of an employer.

E3-1 Contingencies (continued)

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2023 was \$173,530.82. The last valuation of the Scheme was performed by fund actuary, Richard Boyfield, FIAA as at 30 June 2022.

The amount of additional contributions included in the total employer contribution advised above is \$83,704.32. Council's expected contribution to the plan for the next annual reporting period is \$183,755.04.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2023 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	2,209.9	
Past Service Liabilities	2,236.1	102.4%
Vested Benefits	2,253.6	101.7%

* excluding member accounts and reserves in both assets and liabilities.

The share of any funding surplus or deficit that can be attributed to Council is 0.42%

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	6.0% per annum
Salary inflation *	3.5% per annum
Increase in CPI	6.0% for FY 22/23 and 2.5% per annum thereafter

* Plus promotional increases

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review, which will be a triennial actuarial investigation will be completed by December 2023.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30 June this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

E3-1 Contingencies (continued)

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

\$ '000	2023	2022
Compensation:		
Short-term benefits	1,234	1,009
Post-employment benefits	78	78
Termination benefits	–	63
Total	1,312	1,150

Other transactions with KMP and their related parties

Council is not aware of any transactions at arm's length between KMP and Council.

F1-2 Councillor and Mayoral fees and associated expenses

\$ '000	2023	2022
The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:		
Mayoral fee	27	25
Councillors' fees	138	118
Other Councillors' expenses (including Mayor)	16	11
Total	181	154

F2 Other relationships

F2-1 Audit fees

\$ '000	2023	2022
During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms		
Auditors of the Council - NSW Auditor-General:		
(i) Audit and other assurance services		
Audit and review of financial statements	126	200
Remuneration for audit and other assurance services	126	200
Total Auditor-General remuneration	126	200
Non NSW Auditor-General audit firms		
(i) Audit and other assurance services		
Other Assurance Services	11	8
Remuneration for audit and other assurance services	11	8
Total remuneration of non NSW Auditor-General audit firms	11	8
Total audit fees	137	208

G Other matters

G1-1 Statement of Cash Flows information

Reconciliation of net operating result to cash provided from operating activities

	2023	2022 ¹ Restated
\$ '000		
Net operating result from Income Statement	7,335	39,170
Add / (less) non-cash items:		
Depreciation and amortisation	20,602	18,129
(Gain) / loss on disposal of assets	(128)	1,416
Non-cash capital grants and contributions	–	(19,252)
Unwinding of discount rates on reinstatement provisions	1,297	467
Movements in operating assets and liabilities and other cash items:		
(Increase) / decrease of receivables	1,396	627
Increase / (decrease) in provision for impairment of receivables	–	88
(Increase) / decrease of inventories	(276)	63
(Increase) / decrease of contract asset	(3,103)	(3,871)
Increase / (decrease) in payables	327	(1,177)
Increase / (decrease) in accrued interest payable	(3)	12
Increase / (decrease) in other accrued expenses payable	706	240
Increase / (decrease) in other liabilities	70	(99)
Increase / (decrease) in contract liabilities	4,391	209
Increase/(decrease) in employee leave entitlements	(9)	(976)
Increase / (decrease) in other provisions	–	1,047
Net cash flows from operating activities	32,605	36,093

(¹) Refer to Note G4-1 for the prior period errors

G2-1 Commitments

Capital commitments (exclusive of GST)

\$ '000	2023	2022
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Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Buildings	–	207
Bridges	136	8,530
Other (inc Water and Sewer)	1,606	3,729
Total commitments	1,742	12,466

These expenditures are payable as follows:

Within the next year	1,742	12,466
Total payable	1,742	12,466

Sources for funding of capital commitments:

Future grants and contributions	1,252	8,737
Externally restricted reserves	490	3,729
Total sources of funding	1,742	12,466

G3-1 Events occurring after the reporting date

Council is unaware of any material or significant 'non-adjusting events' that should be disclosed.

G4 Changes from prior year statements

G4-1 Correction of errors

Nature of prior period error

As part of the preparation of the 2022-23 Financial Reports the Council performed revaluations of their remediation provisions which identified 3 landfills not previously recognised. These landfills existed at amalgamation (2016) and should have been recognised then and therefore the omission of the remediation provision from 2016 to 30 June 2022 represents an error.

Given that the error is considered material to Council's financial statements, the error has been corrected by restating each of the affected financial statement line items for the prior periods, as follows:

The errors identified above have been corrected by restating the balances at the beginning of the earliest period presented (1 July 2021) and taking the adjustment through to accumulated surplus at that date.

Comparatives have been changed to reflect the correction of errors. The impact on each line item is shown in the tables below.

\$ '000	Original Balance 1 July, 2021	Impact Increase/ (decrease)	Restated Balance 1 July, 2021
Infrastructure, property, plant and equipment	659,152	7,275	666,427
Total non-current assets	659,648	7,275	666,923
Total assets	713,185	7,275	720,460
Provisions	1,231	2,227	3,458
Total current liabilities	22,161	2,227	24,388
Provisions	9,430	13,318	22,748
Total non-current liabilities	26,803	13,318	40,121
Total liabilities	48,964	15,545	64,509
Net assets	664,221	(8,270)	655,951
Accumulated Surplus	578,094	(8,270)	569,824
Total equity	664,221	(8,270)	655,951

G4-1 Correction of errors (continued)

Adjustments to the comparative figures for the year ended 30 June 2022

Statement of Financial Position

\$ '000	Original Balance 30 June, 2022	Impact Increase/ (decrease)	Restated Balance 30 June, 2022
Non Current assets			
Infrastructure, property plant and equipment	718,273	6,669	724,942
Total non-current assets	718,588	6,669	725,257
Total assets	779,960	6,669	786,629
Current Liabilities			
Provisions	1,183	2,363	3,546
Total current liabilities	20,426	2,363	22,789
Provisions	9,945	11,127	21,072
Total non-current liabilities	25,099	11,127	36,226
Total liabilities	45,525	13,490	59,015
Net assets	734,435	(6,821)	727,614
Accumulated Surplus	619,096	(9,317)	609,779
Revaluation Reserves	115,339	2,496	117,835
Total equity	734,435	(6,821)	727,614

Income Statement for the year ended 30 June 2022

\$ '000	Original Balance 30 June, 2022	Impact Increase/ (decrease)	Restated Balance 30 June, 2022
Depreciation of non-financial assets	18,129	606	18,735
Borrowing Costs	575	441	1,016
Total expenses from continuing operations	58,811	1,047	59,858
Net operating result for the year before grants and contributions provided for capital purposes	1,605	(1,047)	558
Net operating result for the year	40,217	(1,047)	39,170

Statement of Comprehensive Income for the year ended 30 June 2022

\$ '000	Original Balance 30 June, 2022	Impact Increase/ (decrease)	Restated Balance 30 June, 2022
Net operating result for the year	40,217	(1,047)	39,170
IPPE Revaluation Reserve	29,997	2,496	32,493
Other comprehensive income	29,997	2,496	32,493
Total comprehensive income for the year	70,214	1,449	71,663

G5 Statement of developer contributions as at 30 June 2023

G5-1 Summary of developer contributions

\$ '000	Opening balance at 1 July 2022	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2023	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
Roads	1,565	329	–	–	24	(22)	–	1,896	–
S7.11 contributions – under a plan	1,565	329	–	–	24	(22)	–	1,896	–
S7.12 levies – under a plan	1,752	346	–	–	31	–	–	2,129	–
Total S7.11 and S7.12 revenue under plans	3,317	675	–	–	55	(22)	–	4,025	–
S7.11 not under plans	118	–	–	–	1	–	–	119	–
S64 contributions	1,304	112	–	–	19	–	–	1,435	–
Total contributions	4,739	787	–	–	75	(22)	–	5,579	–

Under the *Environmental Planning and Assessment Act 1979*, Council has significant obligations to provide Section 7.11 (contributions towards provision or improvement of amenities or services) infrastructure in new release areas. It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

G5-2 Developer contributions by plan

\$ '000	Opening balance at 1 July 2022	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2023	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
CONTRIBUTION PLAN (former Harden)									
Roads	1,565	329	—	—	24	(22)	—	1,896	—
Total	1,565	329	—	—	24	(22)	—	1,896	—

S7.12 Levies – under a plan

CONTRIBUTION PLAN (former Boorowa)

Roads	217	2	–	–	4	–	–	223	–
Community facilities	259	24	–	–	5	–	–	288	–
Other	1	–	–	–	–	–	–	1	–
Total	477	26	–	–	9	–	–	512	–

CONTRIBUTION PLAN (former Harden)

Roads	28	–	–	–	–	–	–	28	–
Other	158	117	–	–	4	–	–	279	–

G5-2 Developer contributions by plan (continued)

\$ '000	Opening balance at 1 July 2022	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2023	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
Total	186	117	–	–	4	–	–	307	–
CONTRIBUTION PLAN NUMBER Former Young									
Community facilities	1,089	203	–	–	18	–	–	1,310	–
Total	1,089	203	–	–	18	–	–	1,310	–

G5-3 Contributions not under plans

(former Young)

Drainage	31	–	–	–	–	–	–	31	–
Parking	87	–	–	–	1	–	–	88	–
Total	118	–	–	–	1	–	–	119	–

G5-4 S7.4 planning agreements

Council established a planning agreement with Rye Park Windfarm to upgrade roads and associated infrastructure. The windfarm completed the work and contributed the asset upgrades to Council.

G6 Statement of performance measures

G6-1 Statement of performance measures – consolidated results

	Amounts	Indicator	Indicator Restated 2022 ⁴	Benchmark
\$ '000	2023	2023		
1. Operating performance ratio				
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1,2}	(4,818)	(7.28)%	3.50%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	66,182			
2. Own source operating revenue ratio				
Total continuing operating revenue excluding all grants and contributions ¹	43,161	55.14%	39.04%	> 60.00%
Total continuing operating revenue ¹	78,279			
3. Unrestricted current ratio				
Current assets less all external restrictions	28,942	1.50x	1.33x	> 1.50x
Current liabilities less specific purpose liabilities	19,275			
4. Debt service cover ratio				
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	17,567	4.82x	8.02x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	3,644			
5. Rates and annual charges outstanding percentage				
Rates and annual charges outstanding	4,099	13.90%	12.58%	< 10.00%
Rates and annual charges collectable	29,494			
6. Cash expense cover ratio				
Current year's cash and cash equivalents plus all term deposits	49,698	11.89 months	11.80 months	> 3.00 months
Monthly payments from cash flow of operating and financing activities	4,180			

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

(4) Refer note G4-1 for prior period errors

G6-2 Statement of performance measures by fund

	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
\$ '000	2023	Restated 2022	2023	2022	2023	2022	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(13.60)%	(2.17)%	11.05%	17.94%	28.38%	32.93%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	45.69%	29.58%	100.25%	97.09%	99.49%	98.47%	> 60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	1.50x	1.33x	17.20x	18.56x	11.11x	8.79x	> 1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	5.31x	11.19x	3.44x	4.50x	4.68x	4.65x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates and annual charges outstanding percentage							
Rates and annual charges outstanding	13.43%	12.68%	15.15%	12.52%	14.69%	12.49%	< 10.00%
Rates and annual charges collectable							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	8.78	9.21	27.42	33.27	30.23	12.69	> 3.00
Monthly payments from cash flow of operating and financing activities	months	months	months	months	months	months	months

(1) - (2) Refer to Notes at Note G6-1 above.

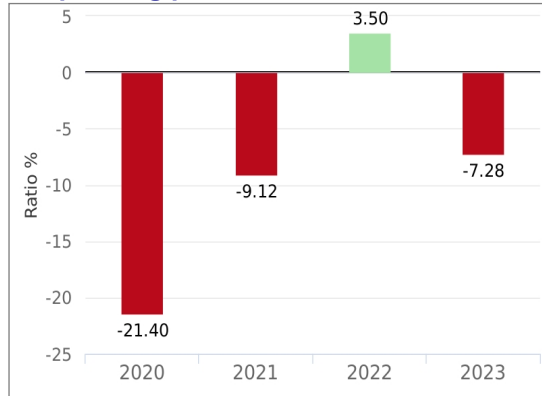
(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

End of the audited financial statements

H Additional Council disclosures (unaudited)

H1-1 Statement of performance measures – consolidated results (graphs)

1. Operating performance ratio



Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2022/23 result

2022/23 ratio (7.28)%

Council has once again dipped below the benchmark, following an improvement in 2021/22.

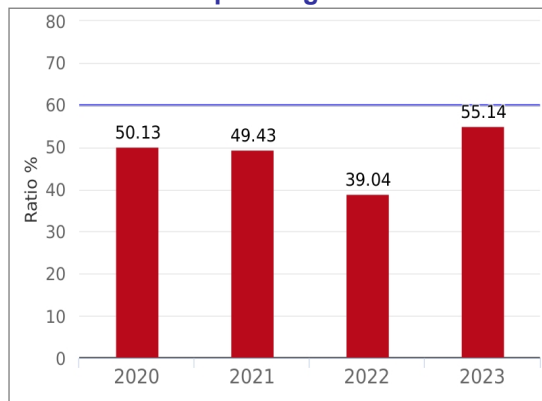
Benchmark: — > 0.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

2. Own source operating revenue ratio



Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2022/23 result

2022/23 ratio 55.14%

Council has fallen away from the benchmark this year, similar to the result last year. Council has again received significant operating grant income which has artificially lowered the ratio in 2022/23.

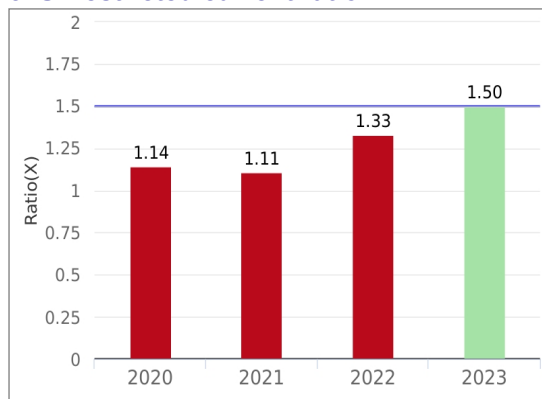
Benchmark: — > 60.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

3. Unrestricted current ratio



Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2022/23 result

2022/23 ratio 1.50x

Council has risen above the industry benchmark of 1.5 again in 2023/23 and continues to have sufficient working capital to meet all financial obligations as they fall due.

Benchmark: — > 1.50x

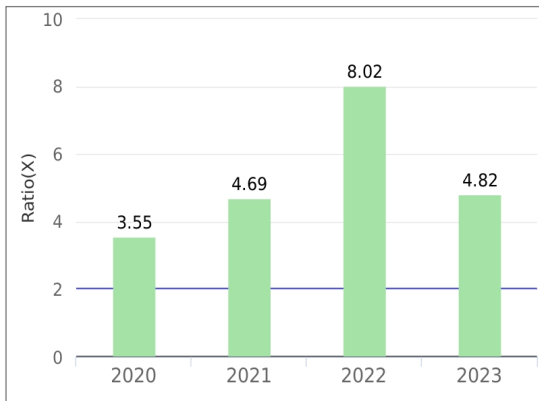
Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

H1-1 Statement of performance measures – consolidated results (graphs) (continued)

4. Debt service cover ratio



Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2022/23 result

2022/23 ratio 4.82x

Council's Debt Service Cover Ratio continues to exceed the industry Benchmark. This trend is expected to continue as outstanding borrowings reduce.

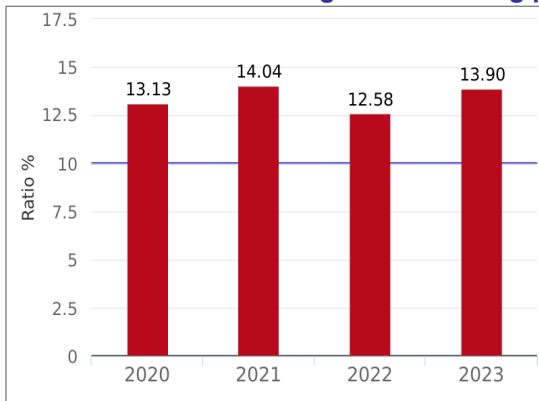
Benchmark: — > 2.00x

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

5. Rates and annual charges outstanding percentage



Purpose of rates and annual charges outstanding percentage

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2022/23 result

2022/23 ratio 13.90%

In the 2023 financial period uncollected rates and annual charges have remained consistent. Council sits outside the benchmark standard for Rural Councils. The impact of Covid 19 has had a significant impact on the ability of rural ratepayers to pay rates and annual charges when they fall due.

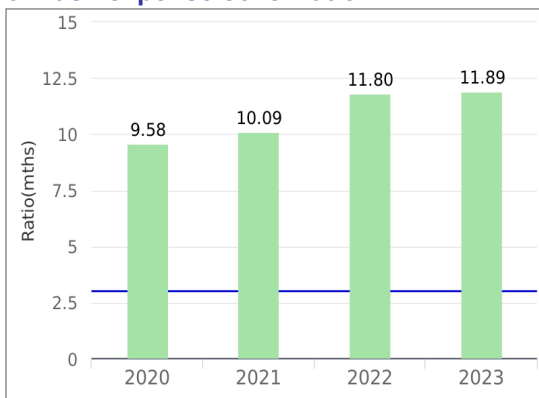
Benchmark: — < 10.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

6. Cash expense cover ratio



Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2022/23 result

2022/23 ratio 11.89 months

The ratio indicates that Council is able to pay its immediate expenses for a period of over 18 months before it would have to seek additional cash externally in order to meet immediate expenses. Council sits comfortably above the minimum industry benchmark of 3.0 months

Benchmark: — > 3.00months

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Qualified Opinion

I have audited the accompanying financial statements of the Hilltops Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2023, the Statement of Financial Position as at 30 June 2023, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended and notes comprising a summary of significant accounting policies and other explanatory information.

In my opinion, except for the effects of the matter described in the 'Basis for Qualified Opinion' section of my report:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2023, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My qualified opinion should be read in conjunction with the rest of this report.

Basis for Qualified Opinion

Non recognition of rural fire-fighting equipment

As disclosed in Note C1-7 'Infrastructure, property, plant and equipment' to the financial statements, the Council has not recognised rural fire-fighting equipment as assets in the Statement of Financial Position at 30 June 2023. In my opinion, these assets are controlled by the Council and should be recognised as assets in accordance with AASB 116 'Property, Plant and Equipment'.

Australian Accounting Standards refer to control of an asset as being the ability to direct the use of, and obtain substantially all of the remaining benefits from, the asset. Control includes the ability to prevent other entities from directing the use of, and obtaining the benefits from, an asset.

Rural fire-fighting equipment is controlled by the Council as:

- these assets are vested in the Council under section 119(2) of the *Rural Fires Act 1997* (Rural Fires Act), giving the Council legal ownership
- the Council has the ability, outside of emergency events as defined in section 44 of the Rural Fires Act, to prevent the NSW Rural Fire Service from directing the use of the rural fire-fighting equipment by either not entering into a service agreement, or cancelling the existing service agreement that was signed on 3 August 2010
- the Council has specific responsibilities for fire mitigation and safety works and bush fire hazard reduction under Part 4 of the Rural Fires Act. The Council obtains economic benefits from the rural fire-fighting equipment as these assets are used to fulfil Council's responsibilities
- in the event of the loss of an asset, the insurance proceeds must be paid into the New South Wales Rural Fire Fighting Fund (section 119(4) of the Rural Fires Act) and be used to reacquire or build a similar asset, which is again vested in the Council as an asset provided free of charge.

The Council has not undertaken procedures to confirm the completeness, accuracy, existence or condition of these assets. Nor has the Council performed procedures to identify the value of assets vested in it during the year. When these assets are vested, no financial consideration is required from the Council and as such the assets are provided to the Council free-of-charge.

This is a limitation on the scope of my audit as I was unable to obtain sufficient appropriate audit evidence to:

- support the carrying values of rural fire-fighting equipment assets that should be recorded in the Statement of Financial Position and related notes as at 30 June 2023
- determine the impact on the 'Accumulated surplus' in the Statement of Changes in Equity and Statement of Financial Position
- determine the amount of 'Grants and contributions provided for capital purposes' income from any rural fire-fighting equipment assets vested as an asset received free of charge during the year and/or 'Depreciation, amortisation and impairment of non-financial assets' expense that should be recognised in the Income Statement for the year ended 30 June 2023
- determine the impact on the 'Operating performance' and 'Own source operating revenue' ratios in Note G6-1 'Statement of performance measures – consolidated results' and Note G6-2 'Statement of performance measures by fund'.

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my qualified audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 'Material budget variations'
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Yu Jiang'.

Reiky Jiang
Delegate of the Auditor-General for New South Wales

27 February 2024
SYDNEY



Ms Margaret Roles
Mayor
Hilltops Council
189 Boorowa Street
YOUNG NSW 2594

Contact: Reiky Jiang
Phone no: 02 9275 7281
Our ref: R008-16585809-50794/ 1740

27 February 2024

Dear Ms Roles

**Report on the Conduct of the Audit
for the year ended 30 June 2023
Hilltops Council**

I have audited the general-purpose financial statements (GPFS) of the Hilltops Council (the Council) for the year ended 30 June 2023 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed a modified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2023 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

SIGNIFICANT AUDIT ISSUES AND OBSERVATIONS

I identified the following significant audit issues and observations during my audit of the Council's financial statements. These issues and observations were addressed as part of my audit.

Modification to the opinion in the Independent Auditor's Report

Non-recognition of rural fire-fighting equipment

The Council has not recognised rural fire-fighting equipment as assets within 'Infrastructure, property, plant and equipment' in the Statement of Financial Position at 30 June 2023. In my opinion, these assets are controlled by the Council and should be recognised as assets in accordance with AASB 116 'Property, Plant and Equipment'.

Australian Accounting Standards refer to control of an asset as being the ability to direct the use of, and obtain substantially all of the remaining benefits from, the asset. Control includes the ability to prevent other entities from directing the use of, and obtaining the benefits from, an asset.

Rural fire-fighting equipment is controlled by the Council as:

- these assets are vested in the Council under section 119(2) of the *Rural Fires Act 1997* (Rural Fires Act), giving the Council legal ownership.

- the Council has the ability, outside of emergency events as defined in section 44 of the Rural Fires Act, to prevent the NSW Rural Fire Service from directing the use of the rural fire-fighting equipment by either not entering into a service agreement, or cancelling the existing service agreement that was signed on 3 August 2010
- the Council has specific responsibilities for fire mitigation and safety works and bush fire hazard reduction under Part 4 of the Rural Fires Act. The Council obtains economic benefits from the rural fire-fighting equipment as these assets are used to fulfil Council's responsibilities.
- in the event of the loss of an asset, the insurance proceeds must be paid into the New South Wales Rural Fire Fighting Fund (section 119(4) of the Rural Fires Act) and be used to reacquire or build a similar asset, which is again vested in the Council as an asset provided free of charge.

The Council has not undertaken procedures to confirm the completeness, accuracy, existence or condition of these assets. Nor has the Council performed procedures to identify the value of assets vested in it during the year. When these assets are vested, no financial consideration is required from the Council and as such the assets are provided to the Council free of charge.

Consequently, we were unable to determine the carrying values of rural firefighting equipment assets and related amounts that should be recorded and recognised in the Council's 30 June 2023 financial statements.

This has resulted in the audit opinion on the Council's 30 June 2023 GPFS to be modified.

Refer to the Independent Auditor's Report on the GPFS.

Insufficient management review and documentation of judgments

We noted several instances where management's review process of financial accounting judgements lacked timely and sufficient analysis and documentation. This has led to retrospective adjustment of a material prior period error relating to remediation provision, and a material adjustment to the fair value of bulk earthworks. This issue will be reported as a high risk finding in the management letter.

INCOME STATEMENT

Operating result

	2023 \$m	2022 \$m	Variance %
Rates and annual charges revenue	25.5	24.6	3.7
Grants and contributions revenue	35.1	60.4	(41.9)
Operating result from continuing operations	7.3	39.2	(81.4)
Net operating result before capital grants and contributions	(4.8)	0.6	(900)

Rates and annual charges revenue of \$25.5 million increased by \$0.9 million (3.7 per cent) in 2022–23 due to the following:

- the overall rate percentage increase of 2.5 per cent (0.7 per cent rate peg + 1.8 per cent special rate variation) for 2022–23, compared to 2.0 per cent (2.0 per cent rate peg with no special rate variation) for 2021–22.
- an increase in the number of rateable assessments and annual charges for residential and business land types compared to last year.

Grants and contributions revenue (\$35.1 million) decreased by \$25.3 million (or 41.9 per cent) in 2022–23 primarily due to:

- a decrease of non-cash contributions of \$19.3 million - roads and bridges valued at \$19.3 million were completed and transferred to the Council in 2021–22. There was no such cash contributions in the current financial year
- the reduction of \$6.3 million in special purpose Transport grants relating to other roads and bridges funding.

Overall, the Council's operating result from continuing operations (\$7.3 million including depreciation, amortisation, and impairment of non-financial assets) was \$31.8 million lower than the 2021–22 result.

The net operating result before capital grants and contributions (\$4.8 million deficit) was \$5.3 million lower than the 2021–22 result. This result was primarily driven by:

- an increase in material and services expenses of \$6.2 million
- an increase in employee benefits and on-costs of \$3.7 million
- the above are partially offset by the increase in user charges and fees of \$3.5 million.

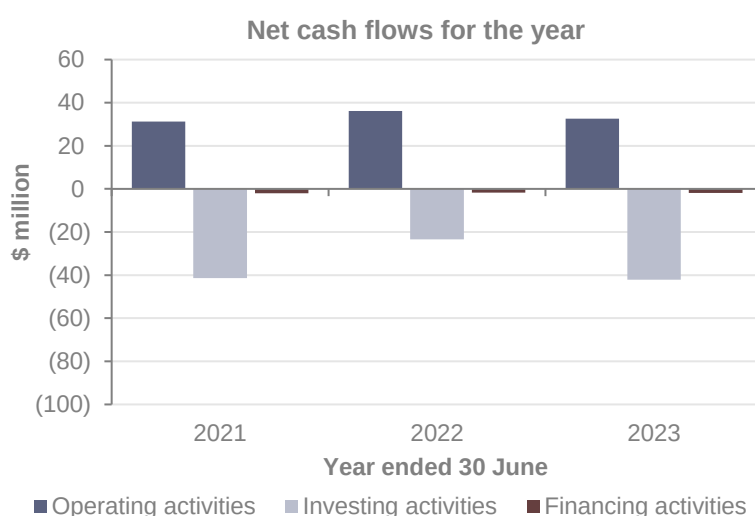
STATEMENT OF CASH FLOWS

The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of Council during the year. The Council's cash and cash equivalents decreased by \$11.3 million during FY2023.

Net cash inflows from operating activities decreased by \$3.5 million. This was mainly due to an increase in payments for materials and services of \$5.0 million, an increase in payments to employees of \$2.8 million, and a decrease in other receipts of \$1.6 million. These are offset by an increase in user charges and fees receipts of \$6.0 million.

Net cash outflows from investing activities increased by \$18.7 million, driven by greater net investing outflows of \$25.7 million, offset by decreased payments for Infrastructure, Property, Plant and Equipment (IPPE) of \$6.4 million.

Net cash outflows from financing activities increased by \$0.1 million primarily attributable to the higher repayments of borrowings during 2022–23 financial year.



FINANCIAL POSITION

Cash and investments

Cash and investments	2023	2022	Commentary
	\$m	\$m	
Total cash, cash equivalents and investments	49.7	41.6	Council's cash, cash equivalents and investments at 30 June 2023 increased by \$8.1 million.
Restricted and allocated cash, cash equivalents and investments:			Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.
• External restrictions	38.9	35.3	Externally restricted balances primarily relate to the water and sewer funds, regional waste group and developer contributions across the general, water and sewer funds.
• Internal allocations	7.5	6.3	Internal allocations are determined by council policies or decisions, which are subject to change. They include work programs such as plant and vehicle replacement, employee leave entitlement and stronger council funds. Through Council resolution, internal allocations can be adjusted to enable the use of these funds to provide liquidity for general operational use as required.

Debt

At 30 June 2023, Council had:

- \$13.7 million in external borrowings (\$15.5 million in 2021-22)
- access to \$0.5 million in bank overdraft facilities (\$2.0 million in 2021-22) which was undrawn as at the reporting date
- \$100,000 in credit card/purchase card facilities (\$400,000 in 2021-22) with \$9,000 used.

PERFORMANCE

Performance measures

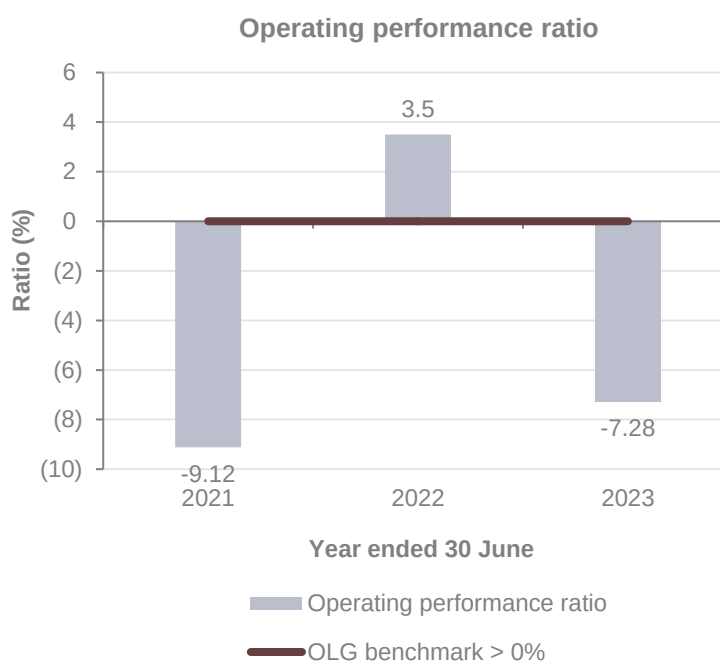
The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning and Environment.

Operating performance ratio

The Council did not meet the benchmark in the current reporting period predominately driven by an increase in materials and services expenses such as raw materials and consumable costs, contractor costs and water purchase costs.

The 2022 ratio was restated to correct a material prior period error.

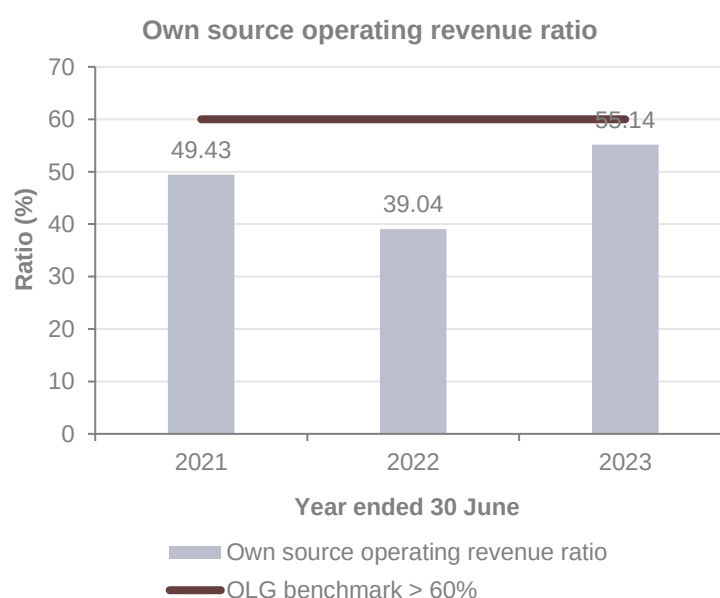
The 'operating performance ratio' measures how well Council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.



Own source operating revenue ratio

The Council did not meet the benchmark for the current reporting period. This indicates the Council continued to rely on grant funding for its operations. However, the ratio has improved from prior years.

The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.

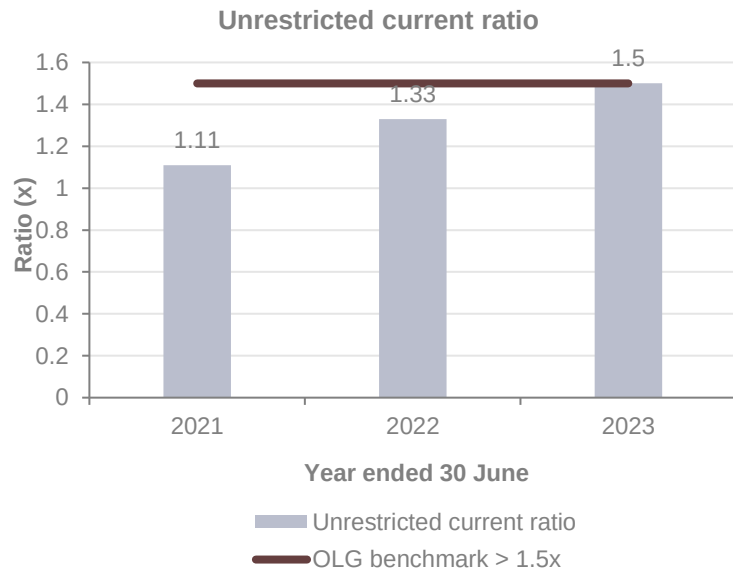


Unrestricted current ratio

The Council met the benchmark for the current reporting period.

The 2022 ratio was restated to correct a material prior period error.

The 'unrestricted current ratio' is specific to local government and represents Council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.

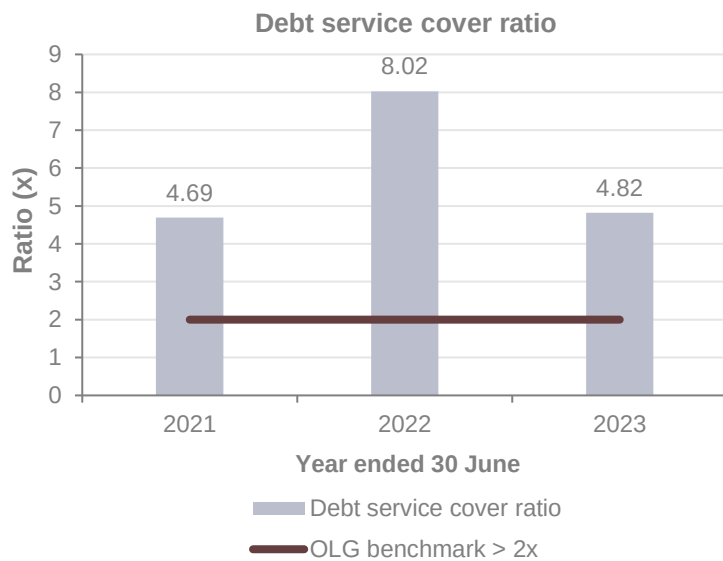


Debt service cover ratio

The Council exceeded the benchmark for the current reporting period.

The 2022 ratio was restated to correct a material prior period error.

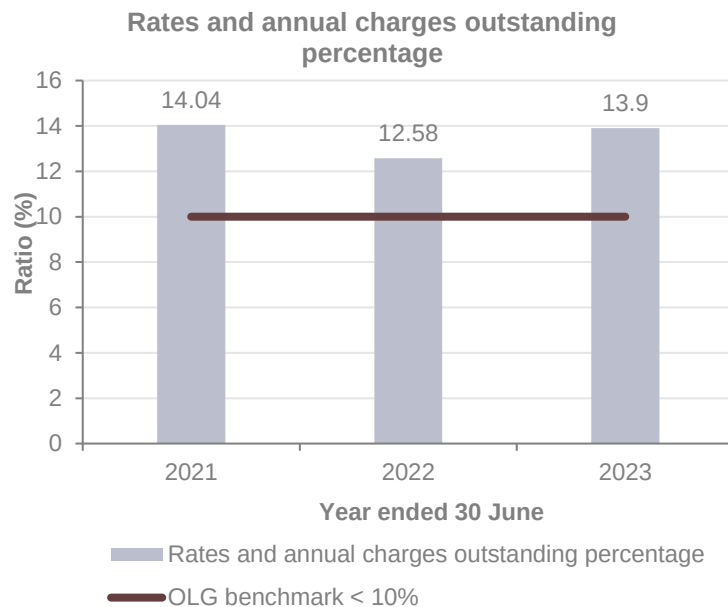
The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.



Rates and annual charges outstanding percentage

The Council did not meet the benchmark for the current reporting period. Management advised COVID-19 has had a significant impact on the ability of rural ratepayers to pay rates and annual charges when they fall due.

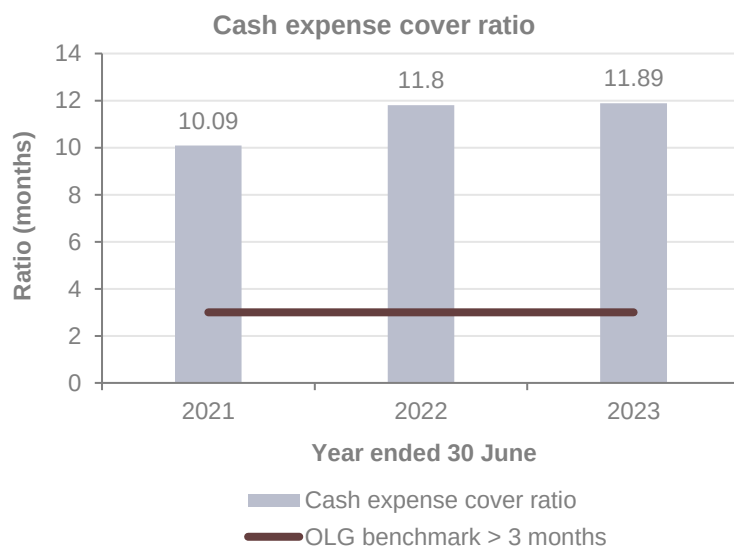
The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is for this ratio to be less than 10 per cent for regional and rural councils.



Cash expense cover ratio

The Council exceeded the benchmark for the current reporting period.

This liquidity ratio indicates the number of months the Council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.



Infrastructure, property, plant and equipment renewals

Council renewed \$13.7 million of infrastructure, property, plant and equipment during the 2022-23 financial year, a decrease of \$25.0 million from the prior year. This was mainly spent on roads, purchases of plant and equipment and the water supply network. Council also had \$9.6 million of asset additions during the 2022-23 financial year, mainly related to capital works in progress which were predominately for the construction or repair of bridges.

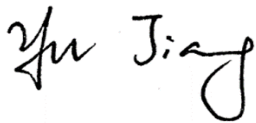
OTHER MATTERS

Legislative compliance

My audit procedures identified a material deficiency in the Council's financial statements due to the non-recognition of rural fire-fighting equipment which will be reported in the Management Letter.

Except for the matter outlined above, the Council's:

- accounting records were maintained in a manner and form that facilitated the preparation and the effective audit of the GPFS
- staff provided all accounting records and information relevant to the audit.



Reiky Jiang
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2023



Special Purpose Financial Statements

for the year ended 30 June 2023

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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2023

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached special purpose financial statements have been prepared in accordance with:

- NSW Government Policy Statement, *Application of National Competition Policy to Local Government*
- Division of Local Government Guidelines, *Pricing and Costing for Council Businesses: A Guide to Competitive Neutrality*
- The Local Government Code of Accounting Practice and Financial Reporting
- Sections 3 and 4 of the NSW Department of Planning and Environment, *Water's Regulatory and assurance framework for local water utilities*.

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year,
- accord with Council's accounting and other records; and
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 16 October 2023.



Clr Margaret Roles

Mayor

26 February 2024



Clr Alison Foreman

Councillor

26 February 2024



Mr Anthony O'Reilly

General Manager

26 February 2024



Mr Norman Smith

Responsible Accounting Officer

26 February 2024

Hilltops Council

Income Statement of water supply business activity

for the year ended 30 June 2023

\$ '000	2023	2022
Income from continuing operations		
Access charges	3,452	3,320
User charges	4,957	5,266
Fees	21	58
Interest and investment income	268	112
Grants and contributions provided for operating purposes	(108)	89
Total income from continuing operations	8,590	8,845
Expenses from continuing operations		
Employee benefits and on-costs	1,007	865
Borrowing costs	43	48
Materials and services	1,607	2,418
Depreciation, amortisation and impairment	1,502	1,027
Water purchase charges	3,482	2,900
Total expenses from continuing operations	7,641	7,258
Surplus (deficit) from continuing operations before capital amounts	949	1,587
Grants and contributions provided for capital purposes	86	173
Surplus (deficit) from continuing operations after capital amounts	1,035	1,760
Surplus (deficit) from all operations before tax	1,035	1,760
Less: corporate taxation equivalent (25%) [based on result before capital]	(237)	(397)
Surplus (deficit) after tax	798	1,363
Plus opening retained profits	58,965	57,205
Less:		
– Corporate taxation equivalent	237	397
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	60,000	58,965
Return on capital %	2.1%	3.8%
Subsidy from Council	893	–
Calculation of dividend payable:		
Surplus (deficit) after tax	798	1,363
Less: capital grants and contributions (excluding developer contributions)	(86)	(173)
Surplus for dividend calculation purposes	712	1,190
Potential dividend calculated from surplus	356	595

Hilltops Council

Income Statement of sewerage business activity

for the year ended 30 June 2023

\$ '000	2023	2022
Income from continuing operations		
Access charges	4,724	4,574
User charges	19	24
Liquid trade waste charges	19	18
Fees	14	15
Interest and investment income	143	59
Other income	–	2
Total income from continuing operations	4,919	4,692
Expenses from continuing operations		
Employee benefits and on-costs	520	382
Borrowing costs	350	382
Materials and services	1,160	965
Depreciation, amortisation and impairment	1,493	1,418
Total expenses from continuing operations	3,523	3,147
Surplus (deficit) from continuing operations before capital amounts	1,396	1,545
Grants and contributions provided for capital purposes	25	73
Surplus (deficit) from continuing operations after capital amounts	1,421	1,618
Surplus (deficit) from all operations before tax	1,421	1,618
Less: corporate taxation equivalent (25%) [based on result before capital]	(349)	(386)
Surplus (deficit) after tax	1,072	1,232
Plus opening retained profits	42,783	41,165
Less:		
– Corporate taxation equivalent	349	386
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	44,204	42,783
Return on capital %	3.4%	4.0%
Subsidy from Council	294	–
Calculation of dividend payable:		
Surplus (deficit) after tax	1,072	1,232
Less: capital grants and contributions (excluding developer contributions)	(25)	(73)
Surplus for dividend calculation purposes	1,047	1,159
Potential dividend calculated from surplus	524	580

Hilltops Council

Income Statement - South West Regional Waste Management Group

for the year ended 30 June 2023

	2023 Category 1	2022 ¹ Category 1 Restated
\$ '000		
Income from continuing operations		
Interest and investment income	85	16
Grants and contributions provided for operating purposes	2,124	1,988
Total income from continuing operations	2,209	2,004
Expenses from continuing operations		
Employee benefits and on-costs	11	7
Borrowing costs	319	490
Materials and contracts	1,435	1,579
Depreciation, amortisation and impairment	701	728
Total expenses from continuing operations	2,466	2,804
Surplus (deficit) from continuing operations before capital amounts	(257)	(800)
Surplus (deficit) from continuing operations after capital amounts	(257)	(800)
Surplus (deficit) from all operations before tax	(257)	(800)
SURPLUS (DEFICIT) AFTER TAX	(257)	(800)
Plus opening retained profits	(1,677)	(879)
Plus/less: other adjustments (rounding)	(1)	2
Closing accumulated surplus	(1,935)	(1,677)
Return on capital %	0.9%	(4.4)%
Subsidy from Council	209	—

(1) Restated for remediation asset and liability movements

Hilltops Council

Income Statement – South West Rural Fire Zone

for the year ended 30 June 2023

\$ '000	2023 Category 2	2022 Category 2
Income from continuing operations		
Grants and contributions provided for operating purposes	57	—
Total income from continuing operations	57	—
Expenses from continuing operations		
Employee benefits and on-costs	1	1
Materials and contracts	48	46
Total expenses from continuing operations	49	47
Surplus (deficit) from continuing operations before capital amounts	8	(47)
Surplus (deficit) from continuing operations after capital amounts	8	(47)
Surplus (deficit) from all operations before tax	8	(47)
Less: corporate taxation equivalent (25%) [based on result before capital]	(2)	—
SURPLUS (DEFICIT) AFTER TAX	6	(47)
Plus opening retained profits	29	76
– Corporate taxation equivalent	2	—
Closing accumulated surplus	37	29
Subsidy from Council	—	47

Hilltops Council

Statement of Financial Position of water supply business activity

as at 30 June 2023

\$ '000	2023	2022
ASSETS		
Current assets		
Cash and cash equivalents	10,923	10,375
Investments	8,064	8,064
Receivables	2,424	2,888
Total current assets	21,411	21,327
Non-current assets		
Receivables	178	213
Infrastructure, property, plant and equipment	46,886	42,827
Total non-current assets	47,064	43,040
Total assets	68,475	64,367
LIABILITIES		
Current liabilities		
Payables	692	628
Borrowings	348	342
Employee benefit provisions	205	179
Total current liabilities	1,245	1,149
Non-current liabilities		
Borrowings	2,200	2,547
Total non-current liabilities	2,200	2,547
Total liabilities	3,445	3,696
Net assets	65,030	60,671
EQUITY		
Accumulated surplus	59,999	58,964
Revaluation reserves	5,031	1,707
Total equity	65,030	60,671

Hilltops Council

Statement of Financial Position of sewerage business activity

as at 30 June 2023

\$ '000	2023	2022
ASSETS		
Current assets		
Cash and cash equivalents	7,853	5,923
Investments	1,075	1,075
Receivables	796	687
Total current assets	9,724	7,685
Non-current assets		
Receivables	1	1
Infrastructure, property, plant and equipment	50,748	48,113
Total non-current assets	50,749	48,114
Total assets	60,473	55,799
LIABILITIES		
Current liabilities		
Payables	91	69
Borrowings	675	697
Employee benefit provisions	109	108
Total current liabilities	875	874
Non-current liabilities		
Borrowings	7,802	8,463
Total non-current liabilities	7,802	8,463
Total liabilities	8,677	9,337
Net assets	51,796	46,462
EQUITY		
Accumulated surplus	44,202	42,781
Revaluation reserves	7,594	3,681
Total equity	51,796	46,462

Hilltops Council

Statement of Financial Position of South West Regional Waste Management Group

as at 30 June 2023

\$ '000	2023 Category 1	2022 ¹ Category 1 Restated	2021 ² Category 1 Restated
ASSETS			
Current assets			
Cash and cash equivalents	5,620	4,981	3,689
Receivables	179	161	926
Total current assets	5,799	5,142	4,615
Non-current assets			
Infrastructure, property, plant and equipment	6,751	7,102	7,827
Total non-current assets	6,751	7,102	7,827
Total assets	12,550	12,244	12,442
LIABILITIES			
Current liabilities			
Payables	356	111	—
Total current liabilities	356	111	—
Non-current liabilities			
Provisions	11,446	11,127	13,319
Total non-current liabilities	11,446	11,127	13,319
Total liabilities	11,802	11,238	13,319
NET ASSETS	748	1,006	(877)
EQUITY			
Accumulated surplus	(1,935)	(1,677)	(879)
Revaluation reserves	2,683	2,683	2
Total equity	748	1,006	(877)

(1) Recognise remediation asset and liability (refer "correction of errors" note)

(2) Recognise remediation asset and liability (refer "correction of errors" note)

Hilltops Council

Statement of Financial Position – South West Rural Fire Zone

as at 30 June 2023

\$ '000	2023 Category 2	2022 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	37	30
Total current assets	37	30
Total assets	37	30
LIABILITIES		
Current liabilities		
Payables	–	1
Total current liabilities	–	1
Total liabilities	–	1
NET ASSETS	37	29
EQUITY		
Accumulated surplus	37	29
Total equity	37	29

Note – Significant Accounting Policies

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2021* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

c. South West Slopes Regional Waste Management Group.

Provision of a waste facility for the region.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Rural Fire Service

Monetary amounts

Amounts shown in the financial statements are in Australian dollars and rounded to the nearest one thousand dollars.

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs. However, where Council does not pay some taxes, which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are

continued on next page ...

Note – Significant Accounting Policies (continued)

reflected in special purpose financial statements. For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – **25%** (21/22 25%)

Land tax – the first \$969,000 of combined land values attracts **0%**. For the combined land values in excess of \$969,000 up to \$5,925,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$5,925,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **5.45%** on the value of taxable salaries and wages in excess of \$1,200,000.

In accordance with section 4 of Department of Planning and Environment (DPE) – Water's regulatory and assurance framework, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the regulatory and assurance framework as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to sections 3 and 4 of DPE – Water's regulatory and assurance framework is not a prerequisite for the payment of the tax equivalent charges; however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 25% (21/22 25%).

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 25% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors. In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

(ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Note – Significant Accounting Policies (continued)

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 4.02% at 30/6/23.

(iii) Dividends

Council is not required to pay dividends to either itself as owner of a range of businesses, or to any external entities.

A local government water supply and sewerage business is permitted to pay annual dividends from their water supply or sewerage business surpluses. Each dividend must be calculated and approved in accordance with the DPIE – Water guidelines and must not exceed 50% of the relevant surplus in any one year, or the number of water supply or sewerage assessments at 30 June 2023 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with the Best Practice Management of Water Supply and Sewer Guidelines, a Dividend Payment form, Statement of Compliance, Unqualified Independent Financial Audit Report and Compliance Audit Report are submitted to DPIE – Water.

Correction of errors

Nature of prior period error

As part of the preparation of the 2022-23 Financial Reports the Council performed revaluations of their remediation provisions which identified a landfill not previously recognised. This landfill existed at amalgamation (2016) and should have been recognised then and therefore the omission of the remediation provision from 2016 to 30 June 2022 represents an error.

Given that the error is considered material to Council's financial statements, the error has been corrected by restating each of the affected financial statement line items for the prior periods:

The errors identified above have been corrected by restating the balances at the beginning of the earliest period presented (1 July 2021) and taking the adjustment through to accumulated surplus at that date.

Comparatives have been changed to reflect the correction of errors. The impact on each line item is shown in the tables below.

Changes to the opening Statement of Financial Position at 1 July 2021

Statement of Financial Position

\$ '000	Original Balance 1 July, 2021	Impact Increase/ (decrease)	Restated Balance 1 July, 2021
Infrastructure, property plant and equipment	552	7,275	7,827
Total non-current assets	552	7,275	7,827
Total assets	5,167	7,275	12,442
Provisions	–	13,319	13,319
Total non-current liabilities	–	13,319	13,319
Total liabilities	–	13,319	13,319
Net assets	5,167	(6,044)	(877)
Accumulated Surplus	5,165	(6,044)	(879)
Total equity	5,167	(6,044)	(877)

Adjustments to the comparative figures for the year ended 30 June 2022

Statement of Financial Position

\$ '000	Original Balance 30 June, 2022	Impact Increase/ (decrease)	Restated Balance 30 June, 2022
Infrastructure, property plant and equipment	433	6,669	7,102
Total non-current assets	433	6,669	7,102
Total assets	5,575	6,669	12,244
Provisions	–	11,127	11,127
Total non-current liabilities	–	11,127	11,127
Total liabilities	111	11,127	11,238
Net assets	5,464	(4,458)	1,006
Accumulated surplus	5,462	(7,139)	(1,677)
Asset Revaluation Reserve	2	2,681	2,683
Total equity	5,464	(4,458)	1,006

Correction of errors (continued)

Income Statement for the year ended 30 June 2022

\$ '000	Original Balance 30 June, 2022	Impact Increase/ (decrease)	Restated Balance 30 June, 2022
Depreciation, amortisation and impairment	122	606	728
Borrowing Costs	–	490	490
Total expenses from continuing operations	1,708	1,096	2,804
Net operating result for the year	296	(1,096)	(800)
Surplus (deficit) from continuing operations before capital amounts	296	(1,096)	(800)
Surplus (deficit) from continuing operations after capital amounts	296	(1,096)	(800)
Surplus (deficit) from all operations before tax	296	(1,096)	(800)
Less: Corporate taxation equivalent	(74)	74	–
Surplus/ (Deficit) after tax	222	(1,022)	(800)
Plus opening retained profits	5,168	(6,047)	(879)
add back corporate taxation equivalent	74	(74)	–
Closing accumulated surplus	5,462	(7,139)	(1,677)
Return on Capital %	68	(68)	–



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of the Hilltops Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2023, the Statement of Financial Position of each Declared Business Activity as at 30 June 2023 and Significant accounting policies note.

The Declared Business Activities of the Council are:

- water supply
- sewerage
- South West Regional Waste Management Group
- South West Rural Fire Zone.

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2023, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Significant accounting policies note and the Local Government Code of Accounting Practice and Financial Reporting 2022–23 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the Significant accounting policies note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Significant accounting policies note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

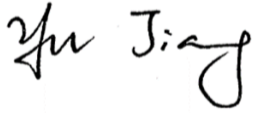
- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Yu Jiang'.

Reiky Jiang
Delegate of the Auditor-General for New South Wales

27 February 2024
SYDNEY

Hilltops Council

SPECIAL SCHEDULES
for the year ended 30 June 2023



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Hilltops Council

Permissible income for general rates

\$ '000	Notes	Calculation 2022/23	Calculation 2023/24
Notional general income calculation ¹			
Last year notional general income yield	a	14,022	14,537
Plus or minus adjustments ²	b	53	29
Notional general income	$c = a + b$	14,075	14,566
Permissible income calculation			
Special variation percentage ³	d	1.80%	0.00%
Or rate peg percentage	e	0.70%	3.70%
Plus special variation amount	$h = d \times (c + g)$	253	—
Or plus rate peg amount	$i = e \times (c + g)$	99	539
Sub-total	$k = (c + g + h + i + j)$	14,427	15,105
Plus (or minus) last year's carry forward total	l	111	1
Sub-total	$n = (l + m)$	111	1
Total permissible income	$o = k + n$	14,538	15,106
Less notional general income yield	p	14,537	15,105
Catch-up or (excess) result	$q = o - p$	1	1
Plus income lost due to valuation objections claimed ⁴	r	—	12
Carry forward to next year ⁶	$t = q + r + s$	1	13

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (3) The 'special variation percentage' is inclusive of the rate peg percentage and where applicable, the Crown land adjustment.
- (4) Valuation objections are unexpected changes in land values as a result of land owners successfully objecting to the land value issued by the Valuer General. Councils can claim the value of the income lost due to valuation objections in any single year.
- (6) Carry-forward amounts which are in excess (an amount that exceeds the permissible income) require Ministerial approval by order published in the *NSW Government Gazette* in accordance with section 512 of the Act. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of the Hilltops Council (the Council) for the year ending 30 June 2024.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2022–23 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2023'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

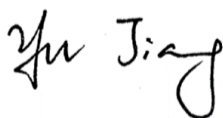
- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.



Reiky Jiang
Delegate of the Auditor-General for New South Wales

27 February 2024
SYDNEY

Hilltops Council

Report on infrastructure assets as at 30 June 2023

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2022/23 Required maintenance ^a	2022/23 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Buildings	Buildings	734	4,027	306	278	79,028	152,030	19.0%	13.0%	52.0%	16.0%	0.0%
	Buildings Water	–	–	–	15	49	62	20.0%	13.0%	52.0%	15.0%	0.0%
	Buildings Sewer	–	–	–	72	868	1,079	20.0%	21.0%	49.0%	10.0%	0.0%
	Sub-total	734	4,027	306	365	79,945	153,171	19.0%	13.1%	52.0%	16.0%	(0.1%)
Other structures	Other structures	1,371	4,005	291	243	11,482	16,708	42.0%	18.0%	16.0%	14.0%	10.0%
	Sub-total	1,371	4,005	291	243	11,482	16,708	42.0%	18.0%	16.0%	14.0%	10.0%
Roads	Bridges	2,887	11,253	226	368	47,122	81,994	26.0%	6.0%	53.0%	12.0%	3.0%
	Footpaths	192	1,095	100	213	9,362	12,847	31.0%	31.0%	28.0%	9.0%	1.0%
	K&G	461	1,509	236	227	9,588	20,346	4.0%	18.0%	70.0%	5.0%	3.0%
	Roads	14,062	38,943	5,594	7,524	315,237	486,710	14.0%	19.0%	45.0%	10.0%	12.0%
	Earthworks	–	–	–	–	149,318	129,481	100.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	17,602	52,800	6,156	8,332	530,627	731,378	30.6%	14.4%	38.3%	8.3%	8.4%
Water supply network	Water supply network	5,141	15,007	653	678	37,868	87,060	3.0%	12.0%	63.0%	13.0%	9.0%
	Reservoirs	2,012	3,254	109	107	4,839	9,366	10.0%	25.0%	25.0%	17.0%	23.0%
	Pump Stations	127	1,200	66	49	1,191	2,283	3.0%	12.0%	63.0%	13.0%	9.0%
	Other	–	1,764	109	121	2,565	4,610	5.0%	7.0%	65.0%	0.0%	23.0%
	Sub-total	7,280	21,225	937	955	46,463	103,319	3.7%	13.0%	59.6%	12.8%	10.9%
Sewerage network	Sewerage network	2,736	2,308	301	298	30,310	57,956	8.0%	20.0%	54.0%	2.0%	16.0%
	Treatment Plant	5,240	13,815	527	555	16,797	32,684	9.0%	19.0%	53.0%	3.0%	16.0%
	Pump Stations	279	689	78	87	878	2,392	10.0%	23.0%	60.0%	0.0%	7.0%
	Other	1,050	561	176	198	1,244	2,609	9.0%	25.0%	40.0%	0.0%	26.0%
	Sub-total	9,305	17,373	1,082	1,138	49,229	95,641	8.4%	19.9%	53.4%	2.2%	16.1%
Stormwater drainage	Stormwater drainage	4,704	10,576	119	117	13,645	33,257	6.0%	16.0%	44.0%	11.0%	23.0%
	Other	–	–	–	–	–	–	0.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	4,704	10,576	119	117	13,645	33,257	6.0%	16.0%	44.0%	11.0%	23.0%

Hilltops Council

Report on infrastructure assets as at 30 June 2023 (continued)

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2022/23 Required maintenance ^a	2022/23 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Open space / recreational assets	Swimming pools	675	3,485	495	398	10,357	16,340	1.0%	50.0%	27.0%	21.0%	1.0%
	Other	417	2,108	494	521	11,792	18,902	19.0%	34.0%	33.0%	13.0%	1.0%
	Sub-total	1,092	5,593	989	919	22,149	35,242	10.7%	41.4%	30.2%	16.7%	1.0%
Total – all assets		42,088	115,599	9,880	12,069	753,540	1,168,716	23.7%	15.4%	42.8%	9.6%	8.5%

(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Hilltops Council

Report on infrastructure assets as at 30 June 2023

Infrastructure asset performance indicators (consolidated) *

	Amounts	Indicator	Indicator Restated 2022 ⁴	Benchmark
\$ '000	2023	2023		
Buildings and infrastructure renewals ratio				
Asset renewals ¹	14,049	81.59%	220.10%	> 100.00%
Depreciation, amortisation and impairment	17,220			
Infrastructure backlog ratio				
Estimated cost to bring assets to a satisfactory standard	42,088	5.51%	2.78%	< 2.00%
Net carrying amount of infrastructure assets	763,785			
Asset maintenance ratio				
Actual asset maintenance	12,069	122.16%	122.62%	> 100.00%
Required asset maintenance	9,880			
Cost to bring assets to agreed service level				
Estimated cost to bring assets to an agreed service level set by Council	115,599	9.89%	0.53%	
Gross replacement cost	1,168,716			

(*) All asset performance indicators are calculated using classes identified in the previous table.

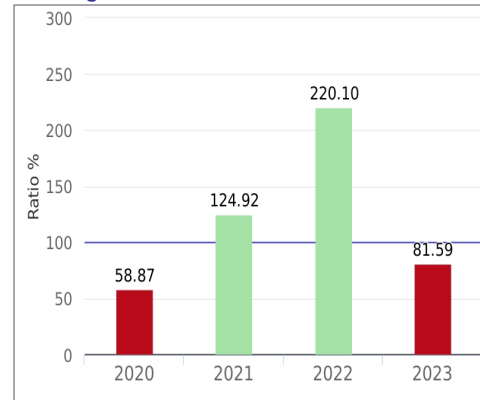
(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

(4) Refer note G4-1 for prior period errors

Hilltops Council

Report on infrastructure assets as at 30 June 2023

Buildings and infrastructure renewals ratio



Buildings and infrastructure renewals ratio

To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.

Commentary on result

22/23 ratio 81.59%

After significant spends in prior years, Council has reduced its renewals in the current year. Flood events also caused a bigger spend on maintenance in the current year.

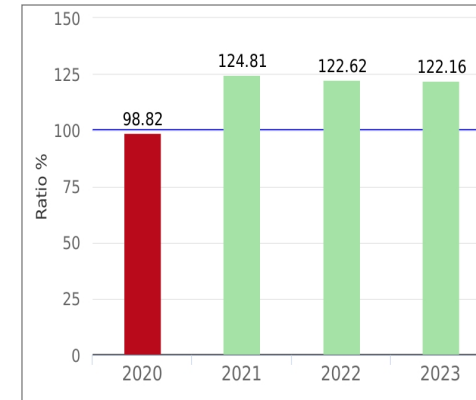
Benchmark: — > 100.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Asset maintenance ratio



Asset maintenance ratio

Compares actual vs. required annual asset maintenance. A ratio above 1.0 indicates Council is investing enough funds to stop the infrastructure backlog growing.

Commentary on result

22/23 ratio 122.16%

As detailed above, flood events have caused a significant overspend on maintenance in the current and prior years.

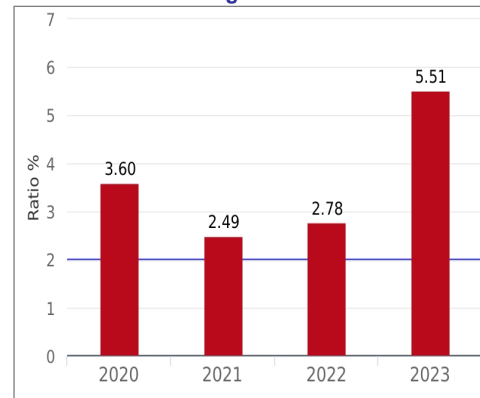
Benchmark: — > 100.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Infrastructure backlog ratio



Infrastructure backlog ratio

This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.

Commentary on result

22/23 ratio 5.51%

Council has completed a new assessment (with Morrison Low) of its required infrastructure spend in the current year resulting in the significant change

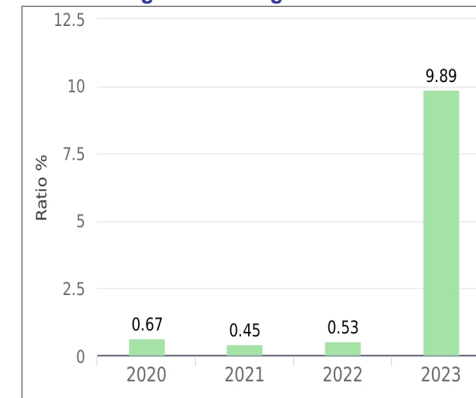
Benchmark: — < 2.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Cost to bring assets to agreed service level



Cost to bring assets to agreed service level

This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.

Commentary on result

22/23 ratio 9.89%

Council has completed a new assessment (with Morrison Low) of its required infrastructure spend in the current year resulting in the significant change

Hilltops Council

Report on infrastructure assets as at 30 June 2023

Infrastructure asset performance indicators (by fund)

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2023	2022	2023	2022	2023	2022	
Buildings and infrastructure renewals ratio							
Asset renewals ¹							
Depreciation, amortisation and impairment	81.98%	233.81%	145.16%	95.69%	13.83%	183.12%	> 100.00%
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard							
Net carrying amount of infrastructure assets	3.82%	1.33%	15.67%	10.45%	18.90%	14.33%	< 2.00%
Asset maintenance ratio							
Actual asset maintenance							
Required asset maintenance	126.90%	125.03%	101.92%	123.89%	105.18%	101.98%	> 100.00%
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council							
Gross replacement cost	7.94%	0.18%	20.54%	1.89%	18.16%	2.66%	

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.